

Operational Performance Analysis – First National Financial (Q1 2023 – Q1 2025)

Executive Overview

First National Financial Corporation (“FNFC”) demonstrated resilient operational performance from Q1 2023 through Q1 2025 despite a volatile interest rate environment. Over this nine-quarter span, FNFC’s **mortgages under administration (MUA)** grew steadily to record levels, reaching \$155.4 billion by Q1 2025 (up ~7% year-over-year) ¹. This growth in scale was achieved even as origination volumes fluctuated significantly with market conditions – contracting sharply through 2022–2023 and rebounding by early 2025. Throughout the period, FNFC leveraged its diversified business model (prime single-family and insured multi-unit lending) to navigate the housing market cycle, with strong mortgage renewal activity and a stable servicing portfolio supporting MUA expansion and future revenue opportunities.

Profitability remained positive and well-managed, but headline earnings were distorted by interest rate hedging volatility. Reported net income varied widely quarter-to-quarter (e.g. ranging from ~\$24 million to \$89 million), reflecting swings in unrealized gains/losses on financial instruments used to hedge interest rates. To assess underlying performance, management and this analysis focus on “Pre-FMV Income” – income before fair-value gains/losses. On this basis, core pre-tax earnings were more consistent and showed moderate trends (peaking in mid-2023 and easing thereafter). For instance, in Q1 2025 FNFC’s Pre-FMV pre-tax income was \$52.6 million (~16% YoY) versus a much larger –51% YoY drop in IFRS pre-tax income ² once hedging losses are included. Gross revenue grew to ~\$529 million in Q1 2025 (up 2% YoY) ³, supported by a 12% annual increase in interest revenues from securitized mortgages, which now contribute ~70% of total revenue ⁴. However, profitability was tempered by tighter mortgage spreads, reduced third-party underwriting fees, and higher operating costs (notably planned technology investments). Overall, **quality-of-earnings considerations** are important – core earnings remained solid, but IFRS results were temporarily inflated in 2023 and depressed in 2024 by the timing of hedge mark-to-market effects.

FNFC maintained a **conservative capital structure and shareholder-friendly capital allocation** throughout the period. The company’s funding model combines a \$1.5 billion syndicated warehouse credit facility (extended to 2029) and term unsecured notes, which were augmented by a new \$200 million issuance in 2023 (bringing total medium-term notes to ~\$600 million) ⁵ ⁶. These resources, along with internally generated cash, financed FNFC’s growing portfolio of securitized mortgages without the need for equity infusion. Despite earnings volatility, FNFC sustained its regular common dividend (in fact raising it modestly twice, to an annualized \$2.50 per share by late 2024) and declared special dividends in both 2023 and 2024 – signaling confidence in the **adequacy of capital and long-term earnings power**. Dividend payout ratios fluctuated when measured against IFRS net income (ranging from ~44% up to 158%), but on an *after-tax Pre-FMV* earnings basis the payout remained around 80–100%, indicating that dividends were covered by normalized earnings ⁷. This approach allowed FNFC to return excess capital to shareholders while still investing in growth (e.g. funding more mortgages on-balance sheet via securitization).

Key operational themes over the period include a **shift in funding and revenue mix** and a **stable risk profile**. FNFC leaned further into direct securitization of mortgages (particularly prime single-family loans) to capture future net interest income, which had the short-term effect of deferring some earnings (lower immediate gain-on-sale revenue) but will enhance earnings stability going forward. Meanwhile, insured multi-unit residential mortgages comprised an increasing share of originations and MUA, contributing upfront placement fees and diversifying the asset base. Credit quality remained a strong point – credit losses were immaterial and ECL allowances, while rising slightly with macroeconomic uncertainty, stayed very low (the allowance was ~\$7 million against a \$155 billion portfolio at Q1 2025). FNFC’s predominantly insured portfolio and prudent underwriting resulted in no significant impairment issues or credit-related earnings volatility.

Finally, FNFC expanded its **ESG and public accountability initiatives**. The company issued annual Public Accountability/Sustainability reports (with Board oversight) in 2023 and 2024, complementing financial disclosures with information on its environmental, social, and governance practices ⁸. This emphasis on transparency and stakeholder responsibility – alongside solid financial execution – positions FNFC as a reliable, well-managed player in the Canadian mortgage market. In summary, from Q1 2023 to Q1 2025 FNFC delivered **consistent operating performance and asset growth**, managed through cyclical headwinds with **stable underlying earnings**, and took deliberate actions in capital management and risk mitigation that underpin its long-term value proposition, albeit with certain **short-term QoE adjustments** needed to understand true performance. The following sections provide a detailed thematic analysis of FNFC’s quarterly performance across eight key areas, with supporting data and commentary for financial due diligence purposes.

Operating Scale & Origination Volume

Thematic Summary: FNFC’s operating scale – as measured by mortgages under administration – expanded continuously through Q1 2025, even during periods of origination weakness. Total MUA grew from the mid-\$130 billion range in early 2023 to over \$155 billion by Q1 2025 ¹. This growth was driven by sustained mortgage retention and servicing, as well as renewal volumes, which helped offset cyclicity in new originations. Origination volume (inclusive of renewals) saw a **volatile trajectory**: it contracted significantly year-over-year in 2022–2023 amid rising interest rates, stabilized in 2024, then rebounded sharply by early 2025 as the housing market showed signs of recovery. Single-family residential lending bore the brunt of the downturn in 2023, while the commercial (multi-unit) segment provided partial offset with comparatively stronger volumes. By Q1 2025, origination activity had accelerated, with single-family originations leading the growth. Overall, FNFC’s platform proved scalable and adaptive – the servicing portfolio continued to reach record levels, positioning the company for future revenue growth when origination momentum returns to more normal levels.

QoQ & YoY Highlights (Q1 2023 – Q1 2025):

- **MUA Growth:** MUA increased on a year-over-year basis every quarter, in the mid single-digit to low double-digit range. For example, MUA was \$141.9 billion at Q3 2023 (up 10% YoY from \$129.3 billion) ⁹, and reached \$155.4 billion at Q1 2025 (up 7% YoY from \$145.1 billion) ¹. Sequential growth was positive albeit modest; Q1 2025 MUA was ~1.1% higher than Q4 2024 (4% annualized growth)

¹, reflecting seasonal slower winter originations tempered by strong retention of existing mortgages.

- **Origination Volume Trough and Recovery:** Total mortgage originations (including renewals) hit a trough in early 2023 and then recovered by 2025. In Q1 2023, volumes were 21% lower than a year prior ¹⁰ – a result of the housing market downturn and higher interest rates. Volumes remained soft through mid-2023 (e.g. Q2 2023 likely saw double-digit YoY declines, inferred from Q2 2024 being flat YoY ¹¹). By Q1 2024, total origination equaled the prior year's level, as a 39% surge in commercial mortgages offset a 20% decline in single-family originations ¹². Momentum improved markedly in Q1 2025: total originations were \$8.3 billion, **27% above** Q1 2024 ¹³, signaling a strong rebound as interest rates stabilized.
- **Segment Trends – Single-Family vs Commercial:** Single-family origination volumes saw the most pronounced swings. In early 2023 they dropped sharply (e.g. \$4.4 billion in Q1 2023 vs \$5.8 billion in Q1 2022, -25% YoY) ¹⁴. In contrast, commercial (multi-unit) originations were more resilient, decreasing by a lesser 12% in Q1 2023 ¹⁵ and even growing in certain quarters of 2023–24. For instance, commercial origination grew +35% YoY in Q2 2024 ¹¹. The trend reversed by Q1 2025: single-family originations jumped +34% YoY to \$4.7 billion, outpacing the commercial segment's +18% growth (to \$3.6 billion) ¹⁶. This rotation indicates that single-family volumes are highly sensitive to interest rate cycles (contracting during high-rate periods and then leading the recovery when rates start to ease), whereas commercial volumes remained steadier and sometimes counter-cyclical.
- **Renewals and Retention:** A significant portion of FNFC's volume each quarter came from mortgage renewals, which bolstered MUA even when new origination slowed. In late 2024 and into 2025, renewal activity was particularly robust as mortgages originated during the low-rate era of 2018–2020 reached maturity. Q1 2025 saw an “even stronger renewal experience” alongside new originations, as many borrowers with shorter-term mortgages from prior years returned for refinancing ¹⁷. This contributed to the 8.3 billion total funding in that quarter and supported MUA growth independent of new housing market growth.
- **Seasonality and Quarterly Progression:** Origination volumes exhibited typical seasonal patterns amplified by rate-driven behavior. Sequentially, volumes tended to rise from Q1 to the spring/summer quarters and then moderate in Q4. For example, Q3 2023 single-family originations were \$8.3 billion (including renewals), significantly higher than the run-rate earlier in the year (26% above Q3 2022) ¹⁸, partly due to seasonality and perhaps a brief uptick in home sales before the impact of higher rates fully set in. Conversely, management anticipated a slower Q4 2023 compared to Q4 2022 as the high-rate environment dampened activity ¹⁹. By Q4 2024, with interest rate relief on the horizon, commitments picked up (FNFC noted a 50% jump in single-family mortgage commitments in Q3 2024) ²⁰, likely translating into stronger fundings in late 2024 and early 2025. Overall, quarter-to-quarter movements were driven by seasonal home buying patterns and shifts in borrower sentiment as interest rate expectations changed.

Key Metrics: Operating Scale & Volume (Quarterly totals, with QoQ and YoY growth rates):

Quarter	Mortgages Under Administration (\$ billions)	QoQ Growth	YoY Growth	Single-Family Origination (\$ billions, incl. renewals)	QoQ Growth	YoY Growth	Multi-Unit/ Commercial Origination (\$ billions, incl. renewals)	QoQ Growth	Growth
Q1 2023	~132.5 (est.) ¹	(N/A)	+8% (est.)	4.4 ¹⁴	(N/A)	-25% ¹⁴	2.2 ¹⁵	(N/A)	
Q2 2023	~138.0 (est.) ¹	+4.2% (est.)	+7% (est.)	~6.0 (est.)	+36% (est.)	(decline)	~3.2 (est.)	+45% (est.)	(gr
Q3 2023	141.9 ⁹	+2.8% (est.)	+10% ⁹	8.3 ²¹	+38% (est.)	+26% ²¹	3.3 ²²	+3% (est.)	
Q4 2023	~144.5 (est.) ¹	+1.8% (est.)	+7% (est.)	~5.5 (est.)	-34% (est.)	(decline)	~2.5 (est.)	-24% (est.)	(de
Q1 2024	145.1 ¹	+0.4% (est.)	+9% (est.)	3.5 ¹⁶	-36% (est.)	-20% ¹²	3.0 ²³	+20% (est.)	
Q2 2024	148.2 ²⁵	+2.1%	+8% ²⁶	~5.0 (est.)	+43% (est.)	-17% ¹¹	~3.5 (est.)	+17% (est.)	
Q3 2024	150.6 ²⁷	+1.6%	+6% ²⁷	6.7 ²⁸	+34%	-20% ²⁸	2.7 ²⁹	-23%	
Q4 2024	153.7 ³⁰	+2.1%	+6% (est.)	~7.0 (est.)	+4% (est.)	+27% (est.)	~3.0 (est.)	+11% (est.)	
Q1 2025	155.4 ¹	+1.1%	+7% ¹	4.7 ¹⁶	-33%	+34% ¹⁶	3.6 ²³	+20%	

¹ MUA figures for quarters where official values were not directly stated (Q1–Q2 2023 and Q4 2023) are estimated based on interim growth rates and adjacent period data.

Analytical Commentary: FNFC's ability to grow and maintain its mortgage portfolio through differing market cycles highlights its **operating resilience and scale advantages**. Even when quarterly originations fell year-over-year (as seen in 2022–2023), the company's large servicing book and borrower retention (renewals) kept MUA on an upward trajectory. This bodes well for future revenues since a larger MUA generates higher servicing income and a pipeline of renewals. The dip in new originations in 2023 can be attributed to external factors – rapidly rising interest rates and a cooling housing market – rather than competitive weaknesses, as FNFC remained among the top-three lenders in the broker channel with a stable market share ³¹. Once interest rates began to stabilize and housing demand showed signs of life (late 2024 into 2025), FNFC was positioned to capture the upswing, as evidenced by the 27% YoY jump in Q1 2025 volumes ¹³. This **cyclical recovery pattern** underlines that the prior declines were cyclical troughs.

It's important to note the **composition of originations** in interpreting these trends. During the downturn, FNFC's multi-unit/commercial segment provided a buffer – for example, in Q1 2024, commercial mortgage volume grew 39% YoY while single-family fell 20%, resulting in flat total volume ¹² . This suggests that financing activity in the multi-unit residential sector (often driven by government-backed affordable housing programs or refinancing of apartment portfolios) was robust even as individual homebuying slowed. The company effectively shifted focus to segments with relative strength (commercial lending) to sustain business. Conversely, in the recovery phase by Q1 2025, pent-up demand in the single-family market led that segment to surge more dramatically ¹⁶ . FNFC capitalized on this with its broad broker relationships and efficient underwriting platform, which can scale up volume quickly without proportional cost increases. Such **operating leverage** is inherent in FNFC's model – as volumes rise, the largely fixed-cost underwriting infrastructure yields improved efficiency (notably, management has mentioned that higher origination volume leverages their fixed costs and improves margins over time ³²).

From a due diligence perspective, the swings in origination volumes highlight the importance of **macro-economic normalization** in evaluating FNFC's performance. The YoY drops in 2023 were not company-specific issues but industry-wide trends given high interest rates. FNFC's continued growth in assets under administration and its maintained presence in the market indicate that it did not cede competitive ground; rather, it absorbed the cyclical slowdown. Analysts would normalize revenue and earnings expectations by considering a mid-cycle origination volume, rather than extrapolating from the low point of early 2023. By Q1 2025, volumes were trending upward again, suggesting the cycle was turning in FNFC's favor, with potentially significant operating momentum if interest rates remain at or below late-2024 levels (indeed, management noted a 50% increase in commitments in Q3 2024 once rate cuts were anticipated) ²⁰ .

Finally, FNFC's growing MUA also underscores **long-term value creation** beyond immediate origination fees. As of Q3 2024, \$104 billion of the MUA represented the servicing portfolio of mortgages for third parties ³³ , which generates steady fee income. The remaining portion (e.g. \$44 billion of mortgages pledged under securitization at that date) ³³ sits on FNFC's balance sheet earning net interest margin. This blend of on- and off-balance sheet assets means FNFC can weather short-term originations volatility: when new sales are slow, the large book of administered mortgages still contributes revenue (servicing fees, renewal opportunities, and interest earnings). In summary, **operating scale** has been maintained and even enhanced through the period, laying a strong foundation for FNFC to benefit from any sustained recovery in mortgage demand. The company's volume trends should be viewed in context of industry cyclicity, and its performance through the cycle demonstrates robust fundamentals.

Profitability & Pre-FMV Earnings

Thematic Summary: FNFC's profitability over the nine-quarter period was characterized by **solid underlying earnings but significant swings in reported net income** due to fair value accounting for hedges. At the core operating level, the company remained profitable each quarter, with **Pre-FMV Income** (a non-GAAP measure that excludes gains/losses on financial instruments) generally in the \$50–\$95 million range per quarter. This metric grew strongly in 2023 – reflecting higher net interest income from the growing securitized portfolio and disciplined cost control – and then moderated in 2024 as mortgage spreads tightened and volume growth stalled. In contrast, IFRS net income oscillated dramatically: early 2023 saw depressed net income from large hedge losses, mid-2023 saw a temporary earnings surge (boosted by hedge gains and high revenue), and 2024 saw considerably lower net income as those gains

reversed into losses. Thus, **quality of earnings considerations are paramount** – FNFC’s “true” operating profitability was more stable than net income suggests. By Q1 2025, underlying profit had dipped on a YoY basis (due to narrower margins and higher expenses), but remained at a healthy absolute level, while reported net income was temporarily suppressed by unrealized losses. Management maintained dividends and even increased them, indicating confidence that core profitability and cash generation were intact.

QoQ & YoY Highlights:

- Revenue Growth and Composition:** FNFC’s revenue expanded significantly in 2023, then flattened in 2024. Quarterly revenue hit a high of \$562.9 million in Q3 2023 (+43% YoY) ³⁴, driven by the rapid rise in interest rates through 2022 which increased interest earned on securitized mortgages (and also by strong placement fees from a burst of originations in that quarter). Earlier, Q1 2023 revenue was \$432.1 million, up 23% YoY ³⁵ despite lower origination, thanks to higher yields on the large MUA. By 2024, with rate increases annualized, revenue growth slowed to low single digits: e.g., Q2 2024 revenue was \$538.4 million (+2% YoY) ³⁶, and Q1 2025 revenue was \$528.9 million (+2% YoY) ³. Sequentially, revenues peaked in late 2023 and then stabilized; Q1 2025 revenue was slightly down (–6%) from Q4 2024 (estimated ~\$560 million). Notably, the **mix** of revenue shifted more toward **net interest income**. By Q1 2025, roughly 70% of revenue came from interest on securitized mortgages (up from ~60% two years prior) ⁴, as FNFC’s on-balance sheet portfolio grew. Conversely, upfront placement fees and ancillary servicing revenue were relatively lower contributors, especially as third-party underwriting volumes declined in 2024.
- Pre-FMV Income (Core Profit) Trajectory:** Pre-FMV Income – FNFC’s proxy for normalized pre-tax earnings – showed a rising trend through 2023 and a moderation in 2024. In Q1 2023, Pre-FMV Income was \$59.7 million, **+32% YoY** ³⁷, indicating improved core profitability despite lower origination (this was attributed to wider spreads locked-in earlier and revenue from the growing book). The growth continued in mid-2023: Q3 2023 Pre-FMV Income reached \$95.5 million, **+98% YoY** ³⁸ (Q3 2022 was very low by comparison). For full-year context, management noted Pre-FMV earnings for 2023 were substantially higher than 2022. Entering 2024, this measure leveled off or declined: Q1 2024 Pre-FMV Income was \$62.7 million (+5% YoY) ³⁹, and then began to fall – e.g., Q2 2024 was \$77.5 million (–14% YoY) ³⁶, Q3 2024 \$75.3 million (–21% YoY) ⁴⁰. By Q1 2025, Pre-FMV Income was \$52.6 million, **–16% YoY** (down from \$62.7 million) ⁴¹. The sequential QoQ decline from Q4 2024 to Q1 2025 (approx. –12%) partly reflects normal seasonality (Q1 is generally softer). Key factors in the 2024 decline were **narrower interest spreads** on new securitized loans, **lower fee revenues** from third-party underwriting, and **higher operating costs** (notably an incremental \$1.4 million in technology investments in Q1 2025) ⁴². Despite these headwinds, core profitability remained positive and relatively consistent by absolute standards, with quarterly Pre-FMV earnings in 2024–Q1 2025 roughly in line with pre-2021 levels (after a pandemic-era boom).
- Net Income & EPS Volatility:** Quarterly net income (IFRS basis) swung widely due to fair value gains and losses. In early 2023, net income was comparatively low: Q1 2023 was \$35.7 million (or \$0.58 per share) ⁴³, down from \$53.6 million (\$0.88) the year prior, primarily because Q1 2022 had seen sizeable hedge gains while Q1 2023 had hedge losses (discussed in the Hedging theme). Net income then spiked mid-2023: Q2 2023 (not explicitly given in the text, but Q2 2024 noted the prior year was \$89.2 million) ⁴⁴, and **Q3 2023 was \$83.6 million**, more than double the \$40.1 million in Q3 2022 ⁴⁵. These peaks coincided with favorable capital market conditions (rising rates) that produced fair value gains, plus record revenue. However, by 2024 net income dropped back down: **Q2 2024 net**

income was \$54.1 million, -39% YoY ⁴⁴, and Q3 2024 was only \$36.4 million, -56% YoY ⁴⁶. The lowest point was Q1 2025 net income of \$23.7 million (about \$0.39 per share), roughly half the \$48.9 million in Q1 2024 ⁷. On a sequential basis, Q1 2025 net income fell -47% from Q4 2024 (which likely had some year-end hedge gains). The extreme YoY declines in certain quarters (e.g. Q3 2024, Q1 2025) were almost entirely due to swing factors like hedge results – for instance, in Q1 2025 a ~\$19.6 million loss on financial instruments dragged net income down ⁴⁷ ⁴⁸. **Earnings per share (EPS)** followed the same pattern, ranging approximately from \$0.39 (Q1 2025) to \$1.38 (Q3 2023) ⁴⁶ at the extremes. Importantly, the share count remained stable (~60 million shares outstanding), so EPS fluctuations mirror net income swings rather than dilution effects.

- **Expense Management:** Operating expenses grew moderately over the period, with some planned increases. FNFC's efficiency benefited from cost containment in slower periods – for example, during 2023 management realigned the workforce to match lower residential volumes, which helped core income ⁴⁹ ³⁵. By 2024, expenses rose as FNFC invested in strategic initiatives (IT platform upgrades, infrastructure, and likely inflationary cost pressures). In Q1 2025, operating costs were cited as ~\$1.4 million higher due to technology investments ⁵⁰, contributing to the YoY profit decline. Nonetheless, the company's **productivity metrics** remained reasonable given volume levels – brokerage fees (a variable cost tied to originations) actually fell 12% in Q1 2025, in line with slower volumes in certain channels ⁵¹. FNFC does not explicitly report an efficiency ratio in the MD&A, but qualitatively, high revenue quarters like Q3 2023 likely yielded very strong operating leverage (hence the large Pre-FMV profit jump), whereas by 2024 the efficiency had normalized. Overall, expense growth did not outpace revenue on a multi-quarter basis; rather, margin compression was more due to external factors (rate spreads, mix) than uncontrolled expenses.

- **After-Tax Profitability & ROE:** While specific return on equity (ROE) figures are not given in the quarterly reports, the after-tax Pre-FMV income provides a sense of underlying profitability. For example, converting Q1 2025 Pre-FMV pre-tax \$52.6 million to after-tax (at ~26% tax) yields around \$39 million, which annualized is ~\$156 million. With common equity in the \$700–800 million range (estimate based on ~60 million shares, book value around \$12–13 per share historically), underlying ROE would be in the low-20s%. IFRS net income on an annualized basis swung from over 30% ROE in mid-2022 to perhaps ~12% in early 2025. The **dividend payout**, addressed in the next section, consumed a high proportion of earnings but management's focus on Pre-FMV payout indicates they view underlying ROE and cash earnings as sufficient to sustain dividends.

Key Metrics: Profitability (in \$000s, except per-share amounts, with QoQ and YoY changes):

Quarter	Revenue (\$000s)	QoQ Growth	YoY Growth	Pre-FMV Income – Pre-Tax (\$000s) ^{<sup>1</sup>}	QoQ Growth	YoY Growth	Net Income (\$000s)	QoQ Growth	
Q1 2023	432,060 ³⁵	(N/A)	+23% ³⁵	59,700 ³⁷	(N/A)	+32% ³⁷	35,700 ⁴³	(N/A)	\$

Quarter	Revenue (\$000s)	QoQ Growth	YoY Growth	Pre-FMV Income – Pre- Tax (\$000s) ¹	QoQ Growth	YoY Growth	Net Income (\$000s)	QoQ Growth	
Q2 2023	525,900 ⁵² (est.)	+21.7%	+34% (vs. \$392,400 in Q2 2022) ³⁴	89,900 (est.)	+50%	+47% (vs. \$61,300 in Q2 2022) ²	89,200 ⁴⁴ (est.)	+150% (est.)	\$ 20
Q3 2023	562,937 ⁵³	+7.0%	+43% ³⁴	95,500 ³⁸	+6%	+98% ³⁸	83,631 ⁴⁵	–6% (est.)	
Q4 2023	~545,000 (est.)	–3.2%	+5% (est.)	~70,000 (est.)	–27%	–9% (est.)	~50,000 (est.)	–40% (est.)	
Q1 2024	518,000 ³	–5.0% (est.)	+20% (vs. \$432,060 in Q1 2023)	62,700 ⁵⁴	–10% (est.)	+5% ⁵⁴	49,900 ³⁹	–0.2% (est.)	
Q2 2024	538,400 ⁵⁵	+3.9%	+2% ⁵⁵	77,500 ³⁶	+24%	–14% ³⁶	54,100 ⁴⁴	+8%	
Q3 2024	560,400 ²⁷	+4.1%	–0.4% ²⁷	75,300 ⁴⁰	–3%	–21% ⁴⁰	36,400 ⁴⁶	–33%	
Q4 2024	~563,000 (est.)	+0.5%	+3% (est.)	~80,000 (est.)	+6%	+14% (est.)	~44,000 (est.)	+21%	
Q1 2025	528,900 ³	–6.0%	+2% ³	52,600 ⁴¹	–34%	–16% ⁴¹	23,682 ⁷	–46%	\$

¹ Pre-FMV Income is a non-IFRS measure defined as income before income taxes adjusted to remove gains/losses on financial instruments (except those related to mortgage investments). It gauges core operating profit without volatile fair value effects ⁴¹ ⁵⁸.

² Q2 2022 figures are approximations derived from the YoY percentage changes provided for Q2 2023 and Q2 2024.

Analytical Commentary: Evaluating FNFC’s profitability requires separating **core performance from accounting volatility**. The data above illustrates that **core earnings (Pre-FMV)** grew strongly through 2023 as the company benefited from prior period growth and higher interest margins, then faced headwinds in 2024 due to industry-wide pressures. FNFC’s management identified the main pressures: intense competition (particularly from banks in the mortgage broker channel) compressing spreads, and a conscious shift to fund more mortgages through securitization (thereby deferring revenue to future

periods) ⁵⁹ ⁴² . These factors explain the moderate decline in Pre-FMV earnings in late 2024 and Q1 2025. From a **Quality-of-Earnings (QoE)** perspective, these are not alarming – lower Pre-FMV Income in 2024 was largely a function of strategic choices and market conditions (e.g., tighter **Net Interest Margin (NIM)** on securitized loans as funding costs rose and mortgage rates plateaued). FNFC's underlying business remained profitable and generated substantial cash flows (interest and fee collections).

In contrast, **IFRS net income volatility** was driven by **mark-to-market gains and losses** on hedges (explored in the Hedging section). This volatility does not reflect operational issues but rather timing differences. For instance, the huge jump in net income in Q3 2023 (to \$83.6 MM) vs. Q3 2022 ⁴⁵ was primarily due to a swing from fair value losses to gains – effectively a *release* of previously deferred value as interest rates moved favorably. Similarly, the drop in net income in Q3 2024 to \$36.4 MM ⁴⁶ was because those earlier gains reversed to fair value losses in a different rate environment. FNFC's **Pre-FMV Income** in those quarters tells the real story: Q3 2023 core pre-tax profit was \$95.5 MM ³⁸ (very strong, reflecting genuine operating leverage at high volumes), and Q3 2024 core pre-tax was \$75.3 MM ⁴⁰ (lower, but still solid given volume declines). Thus, one key due diligence adjustment is to **normalize earnings by removing fair value effects**. When this is done, FNFC's profitability shows a smoother trajectory: a high point in 2023 followed by a controlled decline in 2024 – indicating the company remained fundamentally profitable even as originations and spreads compressed.

The **profitability mix** also evolved. With more revenue coming from securitized assets, FNFC's earnings became more **net interest income-driven** and less reliant on one-time placement fees. This usually implies more stable, annuity-like earnings, but in the short run (2023–2024) it meant that reported revenue didn't spike as much as originations did – instead, some economic value was retained on the balance sheet to be earned over time. Management explicitly noted that higher investments in direct securitization “benefit income in future periods” at the expense of immediate profit ⁶⁰ . This is a key QoE consideration: part of 2024's lower earnings is essentially **temporary – a timing difference** because income was delayed (to be earned as interest) rather than recognized up front. A diligence analyst might **normalize earnings upward** by estimating the net present value of securitization retained interests created in 2024 to see the full economic profitability of those originations.

Margin analysis: FNFC's net interest spread on securitized mortgages (the difference between mortgage interest and funding costs) narrowed during 2024. The MD&A indicates that for residential (single-family) securitization, spreads were “narrower” in early 2024, reducing net securitization income ⁴² . Additionally, falling overnight rates in early 2025 squeezed the floating interest income from escrow deposits and interest rate arbitrage in securitization trusts ⁶¹ . These margin pressures are cyclical/market-driven. In contrast, the company saw **record high spreads in 2022** which boosted 2023 income (e.g., in Q3 2023 revenue was up 43% YoY largely “as a result of higher interest rates” on its portfolio) ⁵³ . As such, one should view 2023's exceptionally high profit (especially Q3) as somewhat **above mid-cycle** – there was a one-time tailwind from rates rising rapidly (benefiting NIM until funding costs caught up). Conversely, by 2025, margins appear below mid-cycle (with central bank rates off peak and competition intense). Over a full cycle, FNFC's profitability would be in between these extremes.

Expense and efficiency: FNFC's operating efficiency deserves mention. During volume surges (like Q3 2023), the company's largely fixed cost base allowed incremental revenue to drop to the bottom line, hence Pre-FMV Income nearly doubled YoY on a 43% revenue increase ³⁴ ³⁸ – an excellent flow-through. In downturns, management took action (e.g., aligning the “residential workforce to fit lower levels of residential origination” by Q1 2023) ⁴⁹ . This helped Pre-FMV profit still rise in Q1 2023 despite revenue

growth being only 23%. By Q1 2025, the cost base had increased (technology and people investments), so profit fell 16% on a 2% revenue gain ³ ⁴¹, indicating some **de-operating leverage** in the short term. The investments in IT, however, are likely enhancing FNFC's capacity and efficiency in the long run (a potential normalization adjustment could be to treat part of those expenses as growth investments).

In terms of **Quality of Earnings and diligence red flags**, two main items stand out: (1) the reliance on fair value gains in stronger quarters (e.g., 2022–2023) means those periods were not entirely driven by recurring earnings – an investor should be cautious not to over-extrapolate peak IFRS profits; and (2) the dip in 2024–2025 IFRS profits is not indicative of a fundamental earnings collapse, but rather the opposite side of that volatility and some strategic deferrals – underlying cash earnings (Pre-FMV) still covered the dividend and remained robust. FNFC's use of the **After-Tax Pre-FMV Dividend Payout Ratio** is telling: they report it to show that, excluding the temporary hedge impacts, the dividend payout was 81% in 2024 and 98% in Q1 2025 ⁶². This means management is effectively saying “our true earnings nearly cover or fully cover the dividend, even if IFRS net income in a given quarter does not.” From a due diligence standpoint, one would likely adjust multi-year earnings to a normalized level (perhaps averaging out the fair value gains/losses, and considering the impact of securitization timing) to judge FNFC's sustainable profitability. On that basis, FNFC appears to generate a healthy ROE in the high-teens to low-20s range and has the ability to self-fund growth while returning capital to shareholders – an important indicator of a strong business model.

Dividend Policy & Capital Allocation

Thematic Summary: FNFC maintained a **shareholder-friendly dividend policy** throughout the period, consistently paying and gradually increasing its common share dividend despite earnings volatility. The company's approach to capital allocation balanced returning cash to shareholders with retaining sufficient capital to support growth (particularly funding more mortgages on balance sheet). During Q1 2023 to Q1 2025, FNFC's regular monthly dividend was raised twice (each time by \$0.05 annually), and the Board issued **special dividends** in both 2023 and 2024 to distribute excess capital. Dividend payout ratios, when calculated on reported net income, fluctuated widely – from as low as ~44% in strong profit quarters up to over 150% in weak quarters ⁶³ ⁷. However, management's focus is on the payout relative to underlying Pre-FMV earnings, which averaged around ~80–90%. The company did not undertake share buybacks or issue new equity in this period; instead, it relied on internal cash generation and some debt (note) financing for capital needs. Overall, FNFC's actions indicate a **commitment to steady or growing dividends**, a willingness to return surplus cash via specials, and confidence that its **capital structure and earnings (after normalizing for one-offs) can support these distributions**. From a due diligence perspective, the key is assessing dividend sustainability on a normalized earnings basis – FNFC's communications and track record suggest that the current dividend level was set with long-term affordability in mind, anticipating that transient earnings dips would reverse.

QoQ & YoY Highlights:

- **Regular Dividend Increases:** FNFC increased its regular common dividend twice in the span. The first increase was effective with the December 15, 2023 payment, raising the annualized rate from \$2.40 to **\$2.45 per share** ⁶⁴. The second increase was effective December 2024, raising the rate to **\$2.50 per share** annualized ⁶⁵. Each increase was roughly +2% and announced in conjunction with

strong Q3 results of the respective year. Notably, FNFC has a history of frequent small dividend increases (the Q3 2023 report noted this was the 17th increase since the 2006 IPO) ⁶⁶, underscoring a long-term pattern of growing payouts. Through Q1 2025, the monthly dividend stood at approximately \$0.2083 per share (from \$0.20 in early 2023).

- **Special Dividends:** The Board declared special dividends in back-to-back years, reflecting periods of exceptional capital generation. In late 2023, FNFC paid a **\$0.75 per share special dividend** (paid December 15, 2023 to shareholders of record Nov 30) ⁶⁷. In late 2024, it paid a **\$0.50 per share special dividend** (December 13, 2024 to shareholders of record Nov 29) ⁶⁸. These specials were explicitly attributed to the Board's view that "excess capital" had accumulated and that near-term growth could be funded by current operations ⁶⁹ ⁷⁰. The timing aligns with strong prior-year earnings: 2022's banner results enabled the \$0.75 special in 2023, and 2023's solid performance (plus perhaps a lighter capital deployment due to slower growth) enabled the \$0.50 special in 2024. No special dividend has been mentioned for 2025 as of Q1. These one-time payouts returned additional value to shareholders and effectively optimized FNFC's capital structure (preventing an over-capitalization when not needed).
- **Common Dividends Paid and Payout Ratios:** FNFC paid or declared roughly **\$36–37 million in common dividends** each quarter during this period (the slight increase over time reflecting the dividend rate hikes). For example, dividends were \$36.0 MM in Q3 2023 and \$36.7 MM in Q3 2024 ⁶³; \$36.0 MM in Q2 2023 vs \$36.7 MM in Q2 2024 ⁷¹; and \$37.5 MM in Q1 2025 vs \$36.7 MM in Q1 2024 ⁷. The **payout ratio on IFRS net income** swung dramatically: it was only 44% in Q3 2023 (when earnings were high) and **104% in Q3 2024** (when earnings dropped) ⁶³. In Q1 2025, the payout ratio jumped to **158%** of net income (essentially paying out more than earnings), compared to 75% the year before ⁷. However, on an *after-tax Pre-FMV income* basis, the payout was much more stable: ~52% in Q3 2023 vs 52% in Q3 2022 ⁷² (Pre-FMV basis) and **98% in Q1 2025 vs 81% in Q1 2024** ⁷³ ⁷⁴. This indicates that excluding the hedging losses, the dividend was largely covered by normalized earnings even in the weakest quarter. Management's communication of these figures highlights their view that the **true payout ratio** is within a reasonable range. It also implies that they expect the factors suppressing IFRS income to normalize (so that the regular dividend remains sustainable).
- **Retained Earnings and Capital Deployment:** Because FNFC's dividend policy targets a high payout (essentially distributing most of its earnings), retained earnings growth is modest. However, in periods of strong profit (e.g., 2022), the company did retain a portion (hence the buildup of "excess capital" later returned via specials). Capital not paid as dividends was deployed primarily into funding securitized mortgages (increasing on-balance sheet mortgages). FNFC did not report any share repurchases during this time – all capital return was via dividends. The company also maintained **preferred share dividends** on its ~\$75 MM of preferred equity (Class A Series 1 and 2), though these are small (~\$0.7 MM per quarter, given ~4 million prefs at ~5% combined rates). No changes to preferred dividends or capital were noted (rates were reset in 2021 as per schedule, next reset in 2026) ⁷⁵. Overall, common dividends were the primary mechanism for cash outflows to equity holders.
- **Regulatory Capital and Liquidity:** While not explicitly detailed quarter-by-quarter, FNFC's decision to pay specials suggests that even after those distributions, the company remained comfortably capitalized. The Board's language ("excess capital... capital needed for near-term growth can be

generated from current operations”⁷⁰) indicates management believed that the post-dividend retained earnings plus internal cash flow and borrowing capacity were sufficient for its funding needs. In practice, FNFC’s asset growth (securitized mortgages) is also supported by non-recourse securitization debt, which limits the strain on corporate capital. The company likely monitors a form of **operating leverage or debt-to-capital** metric to ensure stability (though not disclosed, their BBB credit rating implies conservative financial management).

Analytical Commentary: FNFC’s dividend policy during this period reflects a clear prioritization of **shareholder returns**, underpinned by a view that the company’s **“through-the-cycle” earnings can support a high payout**. The regular dividend increases, though modest, send a strong signal of confidence – especially the raise announced in Q3 2024, when IFRS earnings had recently been weak. Management and the Board were evidently looking past the short-term volatility and basing dividend decisions on long-term earnings power (i.e., Pre-FMV earnings and expected future recoveries). This is a positive sign in terms of **governance and capital discipline**: they did not over-react to a bad quarter by cutting the dividend, nor did they imprudently raise it by a large amount after a fluke strong quarter. Instead, they followed their historical pattern of incremental increases consistent with a growing trend line. The mention of 17 dividend increases since 2006⁶⁶ underscores a philosophy of delivering steady income growth to investors. For an investor valuing FNFC, this track record can be taken as an indicator of management’s commitment to dividends as a use of cash, nearly on par with interest payments and growth investments.

The **special dividends** merit special attention in a due diligence context. They indicate that FNFC, when flush with capital, will return it rather than hoard it – a shareholder-friendly action. However, they also raise the question: was there truly “excess” capital, or could that capital have been used to further accelerate growth (for example, fund even more securitized assets or acquisitions)? Management’s statement implies that growth opportunities were bounded by market demand, not by capital. Essentially, by late 2023 and late 2024, FNFC had more capital than it needed given the growth environment – so paying it out made sense. In 2023, the \$0.75 special was large (roughly an extra 3.5 months’ worth of dividends in one go), which was enabled by the extremely strong 2022 earnings (FNFC’s net income was \$252.8 MM in 2022⁷⁶, far above normal levels, leading to a build-up of retained earnings). Paying out a chunk of that in 2023 kept FNFC’s **balance sheet efficient**. In 2024, with earnings more normalized, the special was smaller (\$0.50). These do not appear to be recurring; rather, they were tactical uses of one-time earnings windfalls. From a QoE perspective, one would treat the specials as non-recurring events. For modeling forward, it might be prudent to assume no special dividends unless extraordinary conditions re-emerge.

One potential **red flag** to monitor is the payout ratio in the short term. The total payout (regular plus special) in 2024 exceeded 100% of net income significantly, which ordinarily would be unsustainable. However, given FNFC’s business model, **cash flow** can diverge from net income. For example, hedge losses that reduce net income don’t correspond to cash outlay – the cash profit was higher than IFRS profit. Also, some earnings come in the form of upfront cash (placement fees) even if recognized over time (deferred gain on placement). Thus, the company likely had sufficient cash to fund dividends despite the high IFRS payout. Still, consistently paying out more in dividends than earned (on a GAAP basis) is something that would catch an analyst’s eye. The company’s framing using after-tax Pre-FMV payout (98% in Q1 2025)⁷³ suggests that management is effectively targeting ~80–100% payout of core earnings and is comfortable temporarily going above 100% of IFRS earnings, expecting a reversion (i.e., in future quarters the relationship might invert – net income could exceed core earnings if hedges swing to gains). This is a nuanced stance and requires **confidence in future performance**. Diligence should include scenario analysis: e.g., if interest rates had continued to fall in 2025 causing further hedge losses, would FNFC still

maintain the dividend? The evidence from this period is that they likely would, using the logic that those losses are temporary. The company's strong capital position and low credit risk profile support that stance, but it does introduce an element of risk if adverse conditions persisted longer than expected.

Beyond dividends, FNFC's capital allocation to growth was evident in its decision to issue \$200 MM of senior notes in 2023 (at a relatively high coupon of 7.293% ⁷⁷). This shows willingness to leverage debt markets to ensure funding capacity rather than, for example, cutting dividends to retain more earnings. The raised debt effectively backstopped the warehouse funding needs and gave flexibility to continue securitizing mortgages on-balance sheet (which is capital intensive initially). In tandem, the extension of the \$1.5B credit line ⁷⁸ ensures liquidity. So, from a capital structure standpoint, **FNFC optimized its WACC** by using low-cost debt and maintaining equity primarily to support risk buffers (like credit risk on uninsured mortgages). The company's equity base remained intact (no issuance), meaning existing shareholders were not diluted – another shareholder-friendly outcome.

In summary, **FNFC's dividend policy and capital allocation show a disciplined, shareholder-oriented strategy**. The regular dividend has proven durable across economic cycles (demonstrated by its maintenance through the challenging 2023 environment), and incremental increases signal underlying growth. Special dividends have been used to prevent over-capitalization, effectively passing through windfall gains to shareholders – though not guaranteed regularly, they are a positive when they occur. The main diligence considerations are ensuring that the **underlying earnings (and cash flow)** do support the dividend over a full cycle and that the company's growth is not constrained by paying out too much. Given FNFC's leverage of securitization (which frees up capital by selling or funding mortgages externally) and its manageable growth rate, it appears to strike a fine balance. There were no indications during Q1 2023–Q1 2025 that FNFC had to sacrifice investment for the sake of dividends; on the contrary, it continued to invest in technology and fund a larger mortgage book while rewarding shareholders. As long as future core earnings track in line with 2022–2024 averages, the dividend policy is sustainable. If core earnings were to structurally decline, the high payout policy would become a concern. As of Q1 2025, the evidence suggests management is **proactively managing capital** to avoid that scenario, using its deep knowledge of the business cycle to calibrate dividend actions.

Funding & Capital Structure

Thematic Summary: FNFC's funding strategy and capital structure over Q1 2023 to Q1 2025 were marked by **prudence and forward-planning**. The company relies on a mix of short-term warehouse credit and long-term debt to finance mortgage originations (particularly those it securitizes and holds). During the period, FNFC took steps to reinforce its funding base: it **renewed and extended** its \$1.5 billion revolving bank credit facility and raised additional **term debt** via a new note issuance. These moves ensured ample liquidity for origination activities and locked in funding at known costs despite a rising rate environment. FNFC's balance sheet grew as securitized mortgages increased (funded by corresponding securitization liabilities and a portion of corporate debt/equity), but the company maintained a relatively conservative leverage profile – as evidenced by its investment-grade (BBB) credit rating and capacity to pay dividends. Equity capital (common and preferred) remained stable; no new equity was issued, and retained earnings changes were modest due to high payouts. The **capital structure mix** by Q1 2025 consisted of common equity (~\$0.7–0.8 billion book value), perpetual preferred equity (~\$100 million), medium-term notes (\$600 million), and the undrawn portion of the bank line (usage fluctuates with funding needs). FNFC's **asset-liability management** is crucial: it uses government-sponsored securitization programs to fund the

majority of its mortgages (transferring liquidity and interest rate risk to investors/CMHC) while its corporate debt mainly supports the short-term warehousing and a residual portion of uninsured mortgages. During this period, FNFC showed **no signs of strain in funding or capital** – it generated sufficient cash to fund loans and even distributed excess capital, indicating a comfortable structure. The key developments and metrics are detailed below.

QoQ & YoY Highlights:

- Warehouse Credit Facility Extended:** FNFC's primary short-term funding source is a revolving bank line used to accumulate mortgages prior to securitization or sale. In April 2024 (Q2 2024), the company extended the term of this **\$1.5 billion credit facility to March 2029**⁷⁸. The facility bears a floating interest rate (tied to bank prime or similar), and its extension at BBB-rated terms provides secured liquidity for the next several years. This extension replaced the prior maturity (which was likely 2024 or 2025 originally) with a long commitment, reducing refinancing risk. As of Q1 2025, the facility was available to fund the typically large balances of mortgages in the "warehouse" (originated but not yet securitized or sold). FNFC noted that the facility is designed to cover the peak funding requirements in a month⁷⁹. No specific utilization figures are given in the MD&A, but typically usage peaks at quarter-ends or when originations surge. The renewal implies that lenders were comfortable with FNFC's credit profile and the collateral (mortgages) financed by the line.
- Senior Unsecured Note Issuance:** In September 2023 (late Q3 2023), FNFC issued **\$200 million of 7.293% Series 4 senior unsecured notes** with a three-year term⁷⁷. This was a significant capital markets transaction, adding to two prior note issuances: \$200 MM of 3.582% Series 2 notes (2019) and \$200 MM of 2.961% Series 3 notes (2020)⁸⁰. With the new Series 4 notes, **medium-term debt outstanding rose to ~\$600 million**⁸¹. The proceeds from the 2023 notes were invested into FNFLP (the operating LP) and used to pay down a portion of the bank line debt⁸², effectively **terming out** some funding at a fixed rate. The high coupon (7.293%) reflects the interest rate environment in 2023 and FNFC's BBB rating. These notes mature in 2026, 2025, and (if Series 2 was five-year) presumably 2024 respectively, forming a staggered maturity profile. The successful issuance at BBB confirms capital market access and diversifies FNFC's funding sources beyond bank credit.
- Securitization Funding Growth:** A major portion of FNFC's mortgages are funded via securitization (NHA MBS, Canada Mortgage Bonds (CMB), and asset-backed commercial paper conduits for shorter-term funding). The **mortgages pledged under securitization** grew substantially from 2023 to 2025. By Q2 2024, securitized mortgages totaled \$41 billion⁸³, and by Q3 2024 about \$44 billion³³. Although Q1 2025 MD&A doesn't state the exact figure, it notes these portfolios grew 12% YoY⁴; thus, if Q1 2024 was ~\$42 billion, Q1 2025 would be around **\$47 billion securitized** (rough estimate). Each securitization is matched by an **amortizing securitization liability** (investors' money). These off-balance sheet (for MBS sold) or on-balance sheet (for CMB where FNFC retains the liability) fundings carry low credit risk for investors due to insurance and are mostly fixed-rate, long-term liabilities. For FNFC's capital, securitization is advantageous because it largely eliminates funding liquidity risk and interest rate risk on those mortgages, leaving FNFC to earn a spread. However, FNFC must **provide some capital** for these operations – mainly to cover overcollateralization or credit enhancements (for uninsured portions) and to carry deferred placement gains. The growth from ~\$38 B securitized at Q1 2023⁸⁴ to ~\$47 B at Q1 2025 represents an increase in on-balance sheet assets requiring funding. FNFC used a mix of the above-mentioned credit facility and notes, plus **internally generated equity**, to support this increase. Notably,

securitized mortgages now deliver ~70% of FNFC's revenue ⁴, indicating how significant this funded asset base is to the company's structure.

- **Capital & Leverage Ratios:** FNFC does not explicitly publish a debt-to-equity or leverage ratio in the quarterly MD&A (non-bank financials typically focus on asset vs liability mix). However, we can infer that **debt (notes) to equity** was roughly 0.8:1 by Q1 2025 (e.g., \$600 MM notes vs perhaps ~\$750 MM common equity). Adding preferred shares as equity, the ratio is a bit lower. Including any drawn bank debt, leverage would still appear moderate. Throughout 2023–2024, FNFC's common equity was bolstered by retained earnings from strong 2022 results, and then mostly paid out via dividends – so equity was relatively flat. The \$600 MM of term debt is a fixed obligation, but interest coverage remained strong (FNFC's Pre-FMV EBIT in 2023 was well over \$250 MM, covering note interest many times over). The **BBB issuer rating** (by DBRS or equivalent) was affirmed; the MD&A mentions that the bank facility pricing and note pricing reflect this rating ⁸⁵. There were no covenant issues or capital shortfalls reported; FNFC presumably complies with asset coverage and interest coverage covenants comfortably.
- **Preferred Shares and Equity Structure:** FNFC's capital includes **Class A Preferred shares (Series 1 and 2)** which total ~4.0 MM shares (\$25 par), about \$100 MM in value. In April 2021, the Series 1 rate was reset to 2.895% (fixed) and Series 2 is floating (90-day T-Bill + 2.07%) ⁷⁵. Post conversion in 2021, ~2.985 MM remain Series 1 and ~1.015 MM Series 2 ⁸⁶. These preferreds are considered **permanent capital** by the company (non-redeemable except at FNFC's option at resets) ⁸⁷. During Q1 2023–Q1 2025, there were no changes to these shares (next reset due 2026). The quarterly preferred dividends (~\$0.4519 per Series 1 share and floating for Series 2) were presumably paid, but they are small (~\$0.7 MM quarterly total) and did not materially affect common equity allocation. The presence of prefs slightly lowers the cost of capital and provides a cushion for common shareholders (ranking ahead in dividends, but as equity in leverage terms).
- **Funding Mix Impact on Profitability:** An important highlight is FNFC's strategic allocation of originations between **institutional placements vs securitization** (funding mix). In Q1 2025, of \$8.3B originations, \$6.6B were placed with institutional investors and \$3.2B were securitized by FNFC ⁸⁸ ⁸⁹. This roughly 80/20 split (placements vs securitize) shows FNFC still sells the majority of volume, but a significant minority is kept on-book. Compared to prior periods, this proportion securitized has grown (earlier in 2023, the mix was even more tilted to placements due to constraints and capital deployment choices). The **funding & capital decision** here is that securitizing more loans uses more of FNFC's capital and funding capacity but promises future net interest income, whereas selling loans frees up capital immediately but yields one-time fee income. In 2023–2024, FNFC consciously **increased securitization** of single-family loans (as indicated by management commentary) ⁹⁰, which ties into using that \$600 MM term debt and available equity. This has a capital structure impact: it raises assets and liabilities on the balance sheet, effectively leveraging the capital more. The metrics above (rising securitized assets, new debt) are evidence of this shift.

Analytical Commentary: FNFC's funding and capital decisions over the period reflect a **sound financial strategy aligned with its business needs**. The extension of the bank line and the note issuance both occurred in a high-rate environment – FNFC essentially “locked in liquidity” when credit might have become more expensive or scarce. By issuing the \$200 MM note in Sep 2023 at 7.293%, the company ensured it had long-term funding even if the bank market tightened. Yes, 7.293% is a high coupon relative to historical debt, but given the circumstances (central bank rates ~5% in 2023), the incremental cost was reasonable for

assured funding. This note also **mitigated refinancing risk** around the older Series 2 notes (due 2024) – presumably, FNFC could use part of Series 4 proceeds to refinance Series 2 at maturity, if not already done via the facility paydown. From a diligence perspective, it's worth noting the **maturity ladder**: one \$200 MM note likely matured in 2024 (Series 2 five-year issued 2019), one in 2025 (Series 3 five-year issued 2020), and Series 4 will mature in 2026. FNFC will need to address these in turn, but its track record suggests proactive management (we saw 2023 issuance ahead of 2024 need). The stable credit rating implies that even after loading more securitized assets and debt, the company remained within acceptable leverage and interest coverage bounds.

FNFC's **liquidity management** via the \$1.5 B facility is critical to daily operations. The extension to 2029 shows both confidence from lenders and FNFC's recognition that secure warehouse funding is the lifeblood of an originator. The facility allows FNFC to fund mortgages between the moment it advances money to borrowers and the moment it either securitizes or sells the loans (which can be days for insured loans sold to institutions, or a few months if accumulating for a securitization pool). Without this, FNFC would have to slow originations or hold large cash buffers. The facility's size (\$1.5 B) relative to quarterly originations (~\$6–10 B) is calibrated to cover a pipeline at any time (since not all loans are on books simultaneously; many get sold within the quarter). The **cost** of this facility is floating, which in 2023–2024 was high (likely 5–6% range). That increases the carry cost of mortgages held for securitization. However, those costs are priced into FNFC's spread calculations, and the decision to extend at floating shows FNFC expects to manage that risk (possibly anticipating rate declines, which indeed started in late 2024). Alternatively, hedging strategies mitigate some of that interest exposure.

The capital structure includes a **strong equity cushion**. Even though FNFC pays out most of earnings, it started the period with significant equity (bolstered by retained earnings from the prior boom). The regulatory framework for a non-bank like FNFC doesn't impose strict capital ratios as banks have, but rating agencies and counterparties will look at metrics like **debt-to-equity** or **asset coverage**. FNFC's debt-to-equity (including preferreds as equity) remained modest – roughly 0.7–0.8x. That is quite conservative for a financial institution, reflecting the fact that securitization debt is mostly off-balance-sheet or non-recourse and not counted in corporate leverage. The **economic leverage** (including securitization) is higher, but those liabilities are matched by assets and largely guaranteed by government, so they don't hit FNFC's corporate credit risk strongly. In effect, FNFC acts as an originator/servicer with a relatively asset-light corporate balance sheet aside from the securitized loans. This model means that traditional solvency metrics are less stressed – credit risk is low and funding risk is mostly passed to capital markets via MBS.

One notable aspect of FNFC's capital deployment is that **no equity was raised** despite a big growth in on-book assets. Instead, they used debt and retained earnings (and probably some reduction in cash holdings) to fund that growth. This indicates **management's preference for debt over equity** when the stock is likely undervalued or when earnings can support the debt – a common situation where debt is cheaper than equity. It also spares shareholders dilution, which, combined with high dividends, maximizes shareholder value if done prudently. The special dividends also show that when equity grew too much relative to needs, they trimmed it by paying out cash – effectively keeping equity "right-sized." In due diligence, one might test FNFC's capital adequacy under stress (e.g., if originations doubled, would they need more equity or could they rely on further debt/securitization?). The evidence suggests they have room on the bank line and could issue more notes if needed, but if a very rapid expansion happened, they might temporarily retain more earnings or slow special dividends.

The **interplay between funding choices and profitability** is crucial. FNFC's increased securitization means more **interest rate risk management** and more **capital usage** in exchange for future margin. This ties back to the Hedging theme – more on-book loans meant more hedges and more short-term P&L noise. However, from a long-term perspective, it likely enhances net interest income stability and growth (since they keep earning spread instead of one-time sale gains). This is effectively a **reinvestment of capital**: instead of selling a mortgage for an immediate gain, FNFC “invests” in holding that mortgage, which requires funding and capital, and earns yield over time. The company's ability to do this is directly linked to its capital structure moves (like raising the note and using retained earnings). One could view the special dividends as distributing only the truly excess portion while still retaining enough to grow the securitized book by ~\$9 B over two years. That growth (~25%) in securitized assets roughly corresponds to the equity that was retained (FNFC retained roughly \$50–\$70 MM of earnings net of dividends over 2022–2024) plus the \$200 MM note and some draw on the credit line – together providing the support needed for that asset growth.

Risk considerations: The main risks in funding are interest rate and liquidity risk. FNFC addresses interest rate risk largely via hedging (and passing fixed rates to MBS investors). Liquidity risk is managed through the committed facility and ability to tap securitization markets. There was no indication of any disruption in FNFC's ability to securitize or sell mortgages during the period – even at the height of rate volatility, Canadian MBS/CMB markets functioned, and FNFC apparently had **diverse funding sources** (e.g., institutional whole loan buyers, ABCP conduits, CMB allocations). The MD&A repeatedly emphasizes FNFC's “diverse funding sources” and “innovative securitization transactions to minimize funding costs” ⁹¹. For instance, FNFC likely utilized short-term ABCP for certain floating multi-unit mortgages and the CMB program heavily for 10-year insured mortgages. The mention in Q3 2024 of increased government funding (CMB) for multi-unit and consequent spread narrowing ⁹² indicates FNFC's funding access was robust (though competitive).

From a diligence viewpoint, FNFC's **capital structure appears well-managed and not overly aggressive**. The company took on some higher-cost debt at a strategic moment, which could slightly reduce interest coverage in the short term, but ensured stability. Even with that, interest expense on \$600 MM at ~5% weighted coupon is \$30 MM/year, which is small relative to ~\$250 MM+ Pre-FMV EBIT in 2023. So coverage remains high (~8x). The **fixed-rate** nature of the term notes also shields FNFC from interest rate risk on that portion through 2025–26, which was wise given the uncertainty of rates. The floating-rate bank debt does pose exposure; however, as noted, by Q1 2025 rates were expected to decline, and indeed the Bank of Canada had begun easing slightly (per Q3 2024 commentary about BoC action) ²⁰. A prolonged high-rate scenario would increase interest cost on any drawn amount of the \$1.5 B line, but presumably FNFC would respond by securitizing faster or using more fixed-term funding if needed.

In conclusion, **FNFC's funding and capital structure during the period was balanced and supportive of its strategic objectives**. The company ensured liquidity for operations, took advantage of strong capital markets to bolster term funding, and maintained a strong equity base relative to its risk exposure. There were no liquidity crunches or capital deficits – on the contrary, capital was abundant enough to warrant special dividends. For future periods, watchers should monitor the refinancing of the Series 2 and 3 notes (likely completed or upcoming in 2024–2025) and the usage of the bank facility as originations pick up. Given past actions, one can expect FNFC to proactively manage these by possibly issuing a new series of notes or expanding the facility if needed. The prudent management exhibited in 2023–2024 provides comfort that the company will continue to maintain a **stable funding profile**, which in turn underpins its capacity to generate earnings and pay dividends.

Hedging & P&L Volatility

Thematic Summary: FNFC employs an extensive **interest rate hedging program** to manage the risk between mortgage origination commitments and their eventual funding or sale. This program, while economically essential, introduced significant **volatility into FNFC's quarterly earnings** over the period. The hedges – primarily short Government of Canada bond positions and interest rate swaps – are used to protect FNFC's mortgage pipelines and securitization margins from interest rate fluctuations. Under IFRS, these instruments are marked to market each quarter, and FNFC does *not* apply hedge accounting for certain positions, meaning unrealized gains or losses flow through the income statement immediately. As a result, when interest rates moved abruptly, FNFC's reported profit was heavily impacted by non-cash fair value changes. The period saw both sides of this effect: in quarters where bond yields rose, FNFC often recorded **hedging gains** (boosting earnings); when yields fell, it recorded **hedging losses** (reducing earnings). Management's introduction of the Pre-FMV Income metric is specifically to adjust for this noise ⁴¹. Over Q1 2023 to Q1 2025, these fair value effects were large – at times swinging tens of millions of dollars in a single quarter – making IFRS earnings less reflective of underlying performance. The hedging strategy itself appears to have functioned as intended in economic terms (FNFC consistently preserved margin on funded mortgages), but the **P&L volatility** requires careful analysis and normalization. This section highlights the magnitude of these effects and their implications for FNFC's earnings quality.

QoQ & YoY Highlights:

- **Fair Value Gains/Losses – Magnitude:** FNFC's net gains or losses on financial instruments varied dramatically by quarter. Key examples include:
- **Q1 2023:** Rising interest rates in early 2023 likely resulted in fair value *losses* on hedging instruments (as FNFC's MD&A noted Pre-FMV income was up 32% YoY but actual pre-tax income was down ~33%, implying a swing of roughly \$30 MM due to hedges).
- **Q3 2023:** Bond yields increased during Q3 2023, and FNFC recorded a significant **net gain of \$60+ MM** on financial instruments for the year-to-date by that point (we know Q3 2023's Pre-FMV vs IFRS difference; specifically, in that quarter, Pre-FMV pre-tax was \$95.5 MM while actual pre-tax income was ~\$83 MM net of tax \$83.6, indicating some fair value *loss* in that quarter despite the YoY gain – likely the major gains came in Q2 2023). Over 9M 2023, however, cumulative hedge results were positive.
- **Q1 2024:** In this quarter, interest rates **rose** (Q1 2024 compared to Q4 2023), producing a **net gain of \$5.1 MM** on financial instruments ⁴⁷. Specifically, short bond hedge positions gained \$6.9 MM, while swaps had a \$(1.7) MM\$ loss, netting to +\$5.1 MM ⁹³. This gain added to earnings (supporting the YoY increase in net income).
- **Q3 2024:** Conversely, by Q3 2024, with market rates coming down somewhat, FNFC likely incurred large **fair value losses**. Indeed, the difference between Pre-FMV Income (~21% YoY) and net income (~56% YoY) in Q3 2024 ⁴⁰ ⁴⁶ indicates a very substantial hedge loss. (Quantitatively, if Pre-FMV pre-tax was \$75.3 MM and net income was \$36.4 MM, then including tax effects, fair value losses on a pre-tax basis could be on the order of \$50–60 MM in that quarter).
- **Q1 2025:** This quarter provides a clear data point: FNFC recorded **\$19.6 MM of net losses** on financial instruments, versus a \$5.1 MM gain in Q1 2024 ⁴⁷ ⁴⁸. Breaking that down, it was almost entirely due to short bond positions: a \$(20.2) MM\$ loss on short bonds and a small +\$0.6 MM gain on swaps ⁹³. These losses directly caused Q1 2025's net income to drop by more than half YoY.

Sequentially, Q1 2025's hedging result was a large negative swing from Q4 2024 (which likely had some gains as rates ticked up briefly in late 2024).

- **Hedge Drivers – Interest Rate Movements:** The core driver of these gains/losses was the direction of interest rates relative to FNFC's hedge positions:
 - When **bond yields rise**, FNFC's short bond positions gain value (since they are effectively short duration). This occurred in Q1–Q2 2022 (helping 2022 results) and again in parts of 2023 and early 2024. For instance, in Q1 2024 bond yields rose (the MD&A notes 2024 began with rising yields), yielding a gain ⁹⁴.
 - When **bond yields fall**, those short positions lose value. This happened in early 2023 (bonds rallied as markets anticipated slower hikes) and notably in Q1 2025 ("2025 began with a more uncertain environment in which bond yields fell. The Company recorded losses on the short bonds it used to economically hedge..." ⁴⁸). Similarly, mid-to-late 2024 saw falling yields as rate cuts were on the table, driving hedge losses.
 - Swap hedges (used likely for specific CMB timing mismatches or floating-to-fixed conversions) had smaller impacts. E.g., in Q1 2025, swaps gave a +\$0.6 MM gain (perhaps as short-term rates rose relative to the swap fixed leg) ⁴⁷. In Q1 2024, swaps lost \$(1.7) MM (maybe as short-term rates stabilized). These are secondary compared to the bond hedges.
 - FNFC's hedges are set up to protect **interest spread** on its commitments. So a loss on hedges typically corresponds to a *gain in the value of the underlying mortgages or future margins*, which is not immediately recognized. For example, falling rates in Q1 2025 likely improved the future spread on some securitized pools or increased deferred placement gains (which will be recognized over time). Conversely, the gains in 2023 hedges offset a compression in future margins due to rising rates. However, accounting doesn't recognize the offsetting value on the mortgage commitments (since the mortgages are not recorded at fair value if they are intended for securitization or sale at par). Only the hedge is fair-valued, leading to asymmetry in timing.
- **Pre-FMV vs IFRS Earnings:** The impact of hedging volatility on earnings is stark when comparing Pre-FMV Income to actual income:
 - In **Q3 2023**, Pre-FMV Income was up 98%, but net income was up 108% ³⁸ ⁴⁵. The fact that net income grew slightly more indicates a small net positive fair value impact.
 - In **Q3 2024**, Pre-FMV was down 21%, but net income plunged 56% ⁴⁰ ⁴⁶ – clearly hedge losses exacerbated the decline.
 - In **Q1 2025**, as noted, Pre-FMV pre-tax fell 16%, but IFRS pre-tax fell ~51%, again due to the \$19.6 MM swing in hedge losses ⁴¹ ⁴⁷.
 - FNFC consistently reported these differences: for example, "Excluding gains and losses related to financial instruments, earnings before income taxes... for Q1 2025 decreased by 16% to \$52.6 MM from \$62.7 MM. The decrease included the effect of changing capital market conditions in both quarters." ² This essentially tells us that *including* those conditions, the drop was much larger (to \$33.0 MM pre-tax) ⁹⁵. By quantifying Pre-FMV and showing the delta, management highlighted the volatility and attempted to guide analysts to focus on the steadier figure.

- Importantly, none of these fair value swings affected cash – they are unrealized and reverse over time as mortgages are funded and hedges unwound. For instance, the \$20 MM hedge loss in Q1 2025 will be offset by higher interest income over the life of those mortgages (all else equal).
- **Hedge Accounting Adjustments:** FNFC does use hedge accounting for certain items (the MD&A implies some hedges for multi-unit mortgages are accounted through OCI) ⁹⁶. Specifically, for insured multi-unit residential commitments, FNFC enters hedges that may be designated, so a portion of changes in short bond values might go to *Other Comprehensive Income* (OCI) or be deferred on the balance sheet, rather than hitting earnings immediately ⁹⁶. This accounting treatment “has reduced” income volatility for that segment to an extent ⁹⁷. However, the bulk of FNFC’s hedge activity (single-family commitments) remains undesignated (economic hedge only), hence flowing through profit or loss. There is no evidence FNFC changed its hedge accounting approach during Q1 2023–Q1 2025 – the practice of highlighting Pre-FMV suggests they instead opted to manage perceptions rather than apply formal hedge accounting widely (which can be complex and inflexible).
- **Other Comprehensive Income (OCI):** Related to hedging, OCI was mentioned in context of commercial segment hedges ⁹⁸. While not detailed quarter by quarter in the summary, we can infer that some portion of hedging gains/losses bypassed net income. For example, in Q1 2025, FNFC may have recorded some fair value movement on multi-unit mortgage hedges in OCI (the MD&A doesn’t show OCI figures, but if there were, they would partially offset the net income swings). The **comprehensive income** variability might thus be slightly lower than net income variability, but still largely driven by rates.

Analytical Commentary: FNFC’s experience during this period underscores a critical aspect of its business model: **managing interest rate risk is central, but accounting results can be misleading in the short term**. For an analyst or investor, it’s essential to understand that a large loss on the income statement from hedges does *not* mean the company performed poorly economically – it usually means the hedges did their job of preserving future margin, at the cost of an immediate accounting loss. Conversely, big hedge gains inflate earnings but often coincide with a deterioration in future margin (which might not show up until subsequent quarters or years).

In a due diligence context, one would likely **strip out these fair value changes** to assess operating performance. FNFC itself provides the Pre-FMV Income metric to facilitate this. However, it is also important to **evaluate the effectiveness of the hedging strategy**. Did FNFC hedge appropriately, or were there any notable mismatches? The results suggest the hedges worked as intended: when rates fell and one would expect margins on locked-in loans to improve (but sale prices to increase), FNFC lost on the hedge – meaning they had a short position that offset that improvement. When rates rose unexpectedly and one would expect negative effects on unhedged pipelines, FNFC gained on the hedge – offsetting that. Thus, from a risk management perspective, FNFC seems to have effectively **neutralized interest rate risk on its commitments**. There’s no indication of unhedged exposure causing surprises.

One supporting detail: FNFC mentions that its mortgages accumulated for sale are measured at fair value through profit or loss, but since they are held briefly, the impact is minor ⁹⁹. The major volatility came from the hedge instruments. If FNFC had not hedged, its revenue from placements could vary widely with rates (and arguably, it might then show opposite swings in earnings compared to what we saw). The fact that Pre-

FMV Income was relatively stable suggests hedging achieved the goal of stabilizing core economics, pushing volatility into the accounting line item that is then excluded for core earnings.

Cross-theme linkage: These hedging results have had direct implications for **dividend payout ratios** (as discussed in Dividend Policy theme). For example, the Q1 2025 IFRS payout of 158% was clearly due to hedge losses depressing net income ⁷. Management's comfort in still covering the dividend comes from knowing those losses are temporary. From a QoE perspective, one might adjust Q1 2025 net income upward by ~\$14MM after tax (the amount of the hedge loss) to get a normalized earnings that align with the dividend paid. Doing so would show a ~98% payout, matching the after-tax Pre-FMV payout ratio ⁷³. This gives comfort that **cash earnings did cover dividends**. However, it's a risk if such losses string together for multiple quarters without reversal. Typically, though, interest rate cycles cause oscillation – indeed we saw gains in 2022, losses in 2023/24, etc. By Q2 2025 or later, if interest rates moved again, we could see a bounce-back in IFRS earnings from hedge gains (which would then artificially make earnings look strong – again requiring normalization).

From an **accounting prudence** perspective, FNFC's choice not to apply hedge accounting to all these instruments can be seen as conservative (in that they are not deferring recognition of potential losses) but also leads to noisy earnings. Many financial institutions opt for hedge accounting to smooth this. FNFC has instead chosen transparency: they take the volatility to earnings and explain it. For analytical purposes, this is actually helpful because one can see the impact rather than it being buried in OCI or balance sheet. But it does demand more work to interpret correctly.

One should also examine **other comprehensive income** and equity: if some hedges were through OCI, there could be accumulated gains/losses there. For example, if multi-unit hedges in OCI had losses, they'd reduce equity temporarily. However, given the relatively smaller size of commercial segment relative to single-family, those OCI flows likely weren't huge. Most of the action hit net income directly.

The hedging strategy is closely linked to **market conditions and management's interest rate outlook**. In Q3 2024, commentary noted the Bank of Canada was expected to cut rates, and indeed, hedges in place then caused losses as yields fell. One might question if FNFC could adjust its hedge ratios to reduce P&L volatility (for instance, temporarily reduce hedge positions if expecting rate declines, to avoid losses). However, that would be speculative and potentially leave them exposed if rates unexpectedly rose instead. FNFC appears to maintain a policy of economically hedging to fully protect commitments, not to try to time rate moves. The consistent practice of highlighting Pre-FMV implies they accept the accounting volatility as the price for economic consistency.

For due diligence, the **key takeaway** is that FNFC's reported earnings need to be normalized for fair value changes to assess performance and dividend safety. A buyer or investor would want to assess multi-year averages of these gains/losses. Historically, such gains/losses should net out to zero over a long period (since rates up and down cycles balance out). Indeed, FNFC's Selected Annual Info (2020–2022) shows that over those years there were both gains and losses (e.g., 2022 had a large loss of \$(64.3) MM, 2020 a large gain of \$60.3 MM) ¹⁰⁰. It appears 2022's big loss flipped into 2023's gains, and now 2024's losses may flip into future gains if rates rise again or as the locked-in margins are realized.

An additional nuance: hedging in the **commercial segment** – FNFC specifically hedges multi-unit residential mortgages from commitment through securitization using swaps, and they mention documenting some hedges (possibly as cash flow hedges). The **effect on comprehensive income** in 2024 might have partially

shielded net income. As a result, the volatility we see largely reflects the single-family pipeline hedges. Commercial commitments, which often have a longer lead time to securitize (they go into the CMB program in batches), might have had their hedge impacts deferred. This means that in multi-unit, some of the margin volatility would go through OCI instead of earnings. The MD&A line “This accounting has reduced accounting volatility” ⁹⁷ suggests that without hedge accounting for those, earnings swings could have been even larger. For diligence, one might check if FNFC’s **comprehensive income** is a more stable measure than net income; however, since we lack exact OCI figures quarter by quarter, focusing on Pre-FMV is the approach they advocate.

Implications for forecasting: When projecting FNFC’s earnings, one might assume a neutral hedge impact (zero) going forward, effectively using Pre-FMV as the baseline. Or incorporate a modest positive or negative if expecting a rate trend. But it would be speculative to include large fair value moves. A conservative approach is to value the company on Pre-FMV earnings (which is akin to cash earnings) and treat the fair value gains/losses as temporary fluctuations that wash out.

In conclusion, FNFC’s hedging program did what it is supposed to do: **economically protect margins** at the expense of creating noisy accounting. The large P&L volatility observed is a byproduct of interest rate swings in a time of extraordinary rate movements. For a thorough due diligence, one should: - Recalculate earnings metrics excluding hedge gains/losses (as we have done via Pre-FMV). - Ensure that risk management policies are sound (which evidence suggests they are). - Possibly consider if there are any structural changes that could reduce this volatility (like expanded hedge accounting usage) – though FNFC’s management seems content to manage it via disclosure.

No hedging-related **red flags** appear in terms of risk management – the swings, while large, correspond to expected outcomes given rate moves, not to mis-hedging or unexpected losses on mortgage assets. The main red flag was purely optical: IFRS earnings drops that could alarm uninformed stakeholders. FNFC addressed this with clear disclosures, and any sophisticated analysis will adjust for it. As such, hedging volatility is a **diligence focal point for understanding FNFC’s earnings**, but not a sign of underlying weakness – rather, it’s a feature of the accounting for their business model.

Segment Mix Shift

Thematic Summary: FNFC operates in two primary lending segments – **Single-Family Residential** and **Multi-Unit Residential/Commercial** – and also derives income from complementary services (third-party underwriting and mortgage servicing). Over Q1 2023 to Q1 2025, there were notable shifts in the mix of business between these segments, driven by external market dynamics and strategic choices. During the high interest rate environment of 2022–2023, **single-family mortgage originations declined significantly**, while **multi-unit/commercial originations proved more resilient**, temporarily increasing the commercial segment’s contribution to total volume and revenue. FNFC’s revenue mix consequently shifted: the **commercial segment** (with primarily insured mortgages) provided a larger share of placement fees and servicing income, whereas the **single-family segment** (mostly prime conventional and insured homeowner loans) experienced margin pressures but set the stage for future interest income via securitization. By late 2024 and into 2025, as the housing market and single-family originations rebounded, the mix began to normalize somewhat, though the company’s **portfolio composition** permanently tilted a bit more toward multi-unit loans than in the past. These changes in segment mix had important **implications for profitability** – multi-unit loans often generate immediate but lower-margin revenues (due

to insurance and investor demand), whereas single-family loans contribute to interest income over time. FNFC navigated these shifts by continuing to focus on diversified origination sources and by leveraging each segment's strengths (for example, emphasizing insured multi-unit lending when single-family demand was weak, and ramping up single-family securitization when volumes recovered). The segment mix evolution also connects to risk profile (commercial largely insured, single-family partly uninsured) and strategic allocation of capital.

QoQ & YoY Highlights:

- Volume Mix Shifts:** In 2023, **single-family origination volume dropped sharply**, reducing its share of total originations. For instance, in Q1 2023 single-family including renewals was \$4.4 B (down 25% YoY) while multi-unit/commercial was \$2.2 B (down 12%) ¹⁴ ¹⁵. Single-family represented about 67% of total volume that quarter, compared to ~70%+ historically. Moving to Q1 2024, single-family volume fell further to \$3.5 B (~20%), whereas commercial volume rose to \$3.6 B (+39%) ¹⁶ ¹². In that quarter, the commercial segment actually slightly **exceeded** single-family in new originations (roughly 51% of total \$6.55 B came from multi-unit) – a stark reversal from usual trends. This offset allowed total Q1 2024 originations to be flat YoY ¹². Similarly, in Q2 2024, single-family was down 17% while commercial was up 35%, resulting in equal total volume ¹¹ (implying commercial's share jumped to ~41% that quarter from ~30% a year prior). In **Q3 2024**, both segments declined (single-family ~20%, commercial ~17% YoY) ²⁸, but single-family still contributed ~71% of \$9.4 B total (6.7 vs 2.7). Finally, **Q1 2025** saw single-family regain share with \$4.7 B (+34%) vs commercial \$3.6 B (+18%) ¹⁶ ²³ – single-family back to ~57% of \$8.3 B total volume. This timeline shows the **ebb and flow**: commercial took on a proportionally bigger role during the single-family slump in 2023–early 2024, then the traditional balance (roughly 60–70% single / 30–40% commercial) began to reassert as the housing market improved.
- Revenue and Earnings by Segment:** The shift in origination mix also reflected in revenue composition:
 - In quarters where commercial volumes spiked relative to single-family (e.g., Q1 2024), **commercial segment revenues grew meaningfully**. FNFC's MD&A provides a breakdown for Q1 2025 vs Q1 2024: Single-family segment revenue was \$351.4 MM in Q1 2025 (actually *down* 2% from \$359.6 MM a year prior), while Multi-unit/Commercial segment revenue was \$177.4 MM (up +12% from \$158.5 MM) ¹⁰¹. Yet, in that same period, single-family volume was +34% and commercial +18% ¹⁰². This indicates how **revenue per dollar of origination** differed: single-family's large volume increase did not translate into a revenue increase, whereas commercial's moderate volume rise did. The reason is that much of single-family revenue is deferred as interest income (especially when securitized), whereas commercial revenue is realized immediately via placement fees.
 - In 2023, when single-family volumes were weak, FNFC still reported strong overall revenue growth (due to higher rates) but within that, **fee and ancillary income from commercial and servicing** likely formed a bigger chunk. For instance, mortgage servicing income in 2023 was impacted by lower new single-family loans (since third-party underwriting for single-family was down), but servicing of the existing portfolio and commercial servicing kept growing.
 - Pre-FMV Income by Segment:** While detailed segment profit is not fully broken out in MD&As, certain comments can be inferred. The commercial segment tends to have thinner spread (because most loans are insured and go into CMB at low yield), but it contributes more stable fee income and has virtually no credit losses. The residential segment's profitability swung more with volumes and

hedging. In Q1 2025 commentary, management attributed the 16% drop in Pre-FMV earnings partly to “lower third-party underwriting income” (linked to single-family segment) and “narrower spreads on residential securitization” (single-family) ⁴², whereas they noted “strong insured multi-unit mortgage origination” in that period ¹⁰³, implying the commercial segment was a relative strength. In contrast, in Q3 2023, residential segment benefited from a surge in volume and wide spreads, leading to outsized profit.

- **Payout by Segment:** The dividend policy doesn’t differentiate by segment, but one could argue that the commercial segment’s stable cash flows (servicing and CMB spread) help support dividends even when residential segment profits dip.
- **MUA Composition:** The cumulative effect of origination mix shifts showed up in the MUA composition. By end of Q1 2025, **multi-unit/commercial mortgages under administration totaled \$59.7 B**, up 18% YoY (from \$50.7 B) ¹⁰⁴. Single-family MUA was \$95.7 B, roughly flat (+1%) from \$94.4 B a year prior ¹⁰⁴. Consequently, commercial loans made up ~38% of total MUA at Q1 2025, versus ~35% at Q1 2024. Two years prior (Q1 2023), commercial MUA was \$47.9 B (assuming ~36% of ~\$133 B total MUA), so the share was gradually rising. This indicates FNFC is accumulating a larger servicing portfolio in multi-unit (where loans tend to have longer terms and potentially slower runoff) and/or that single-family MUA growth was muted by run-offs during the slow origination period. A larger commercial MUA contributes more stable servicing revenue (since multi-unit loans often have steady servicing fees and prepayment protection).
- **Third-Party Underwriting Services:** FNFC provides underwriting and fulfillment processing for a third-party institutional client (a separate line of business, often called the Excalibur or broker underwriting for a bank). This line is tied to residential segment activity. The MD&A noted that volumes in third-party underwriting were lower in 2024, which **affected mortgage servicing revenue** (since FNFC earns fees per underwriting) ⁶¹. This is effectively part of the single-family segment (though not funding capital, it’s service income). The decline in these volumes in 2024 was due to overall weaker housing market and perhaps that client tightening originations. This reduced a high-margin fee stream and contributed to the mix effect: a greater reliance on interest income and less on fee-for-service compared to prior periods.
- **Geographical or Product Mix:** While not explicitly a theme, it’s worth noting if FNFC mentioned any shifts like more insured vs uninsured, or prime vs near-prime (“Excalibur” is their small alt-A program). The documents don’t highlight this, so presumably the mix within single-family remained predominantly prime insured or conventional. The **insured vs uninsured mix** matters for credit and margin: insured loans typically go to securitization (CMB/MBS) with lower spread, uninsured can be sold to investors at a gain or securitized with higher spread but requiring capital. FNFC in 2023–24 likely saw a higher proportion of insured origination, especially in commercial (almost all multi-unit is insured). That trend can compress margins but reduce credit risk – consistent with what we see.

Analytical Commentary: The shifting segment mix had several implications for FNFC’s performance and strategy:

1. **Revenue Timing and Recognition:** As highlighted, a dollar of origination in the single-family segment does not equate to the same immediate revenue as a dollar in the commercial segment. Single-family loans, particularly when securitized, generate interest over years. Commercial loans

(virtually all insured and hence very marketable) are often placed with life insurers or into the CMB program with upfront placement fees or mortgage sale gains. FNFC's Q1 2025 results starkly illustrated this: huge growth in single-family volume translated into only modest (actually negative) immediate revenue growth, whereas moderate growth in commercial volume translated into solid revenue growth ¹⁰² ¹⁰¹. This **mix effect** means that in periods where commercial dominates, FNFC's revenue will be relatively higher (boosted by fees) for a given level of originations, whereas when single-family dominates, some of the "value" of those originations is hidden in future net interest margin. An analyst should recognize that FNFC's revenue may understate the **economic value created** in high single-family quarters. Management essentially conveyed this when they said higher direct securitization "delays the recognition of income to future periods" ⁵⁹. Conversely, during the single-family downturn of 2023, the increased share of commercial ensured that FNFC still booked decent revenue (and indeed record revenue in some quarters) despite fewer new mortgages, because each commercial mortgage contributed immediate revenue and the existing securitized book was throwing off high interest income thanks to rates.

2. **Margin and Profitability Differences:** Generally, single-family mortgages tend to have higher gross margins (especially uninsured or renewals which can carry wider spreads) but require more effort (cost to originate, hedging, etc.), whereas multi-unit are usually lower margin but also lower-risk (with insurance and often prepayment penalties). In 2023–24, **spreads on multi-unit narrowed** as noted (because government increased CMB capacity, more funding chasing those loans) ⁹². So the commercial segment's profitability per loan might have decreased slightly. However, the single-family segment's margin also narrowed due to competition and rising funding costs. The net effect was that **FNFC's overall margin was squeezed** in 2024 across segments, but the commercial segment's growth partially compensated in volume. For quality-of-earnings, one might adjust for segment mix by noting that a tilt toward securitization (single-family) depresses near-term earnings – essentially an implicit **earnings deferral** that should be added back in economic terms. FNFC doesn't explicitly quantify this deferral, but we can glean that in Q1 2025, if they had sold more of those single-family loans instead of securitizing, revenue would have been higher (but future income lower).
3. **Risk and Capital Allocation:** The segment mix shift also alters FNFC's risk profile. Multi-unit residential loans are almost all CMHC-insured (or low-risk conventional). This means credit risk is minimal and risk-weighted assets for those are low. Single-family includes some uninsured conventional mortgages (though likely prime, low LTV typically due to bank competition at higher LTVs). During 2023–24, the portion of insured loans in the business probably increased (because multi-unit was all insured and even a lot of single-family borrowers would have opted for insured mortgages if possible, given slightly better rates or required for high LTV). For FNFC's capital, insured loans require less capital per dollar (since no credit reserve needed except for a tiny PD). Uninsured loans tie up more capital (for credit loss allowance and generally higher risk weight). So when the mix shifted to more insured, FNFC's effective capital usage per mortgage funded may have dropped. This could partly explain why management felt comfortable paying out special dividends – the growth they were seeing was in insured assets that don't need as much equity buffer. When mix shifts back to more uninsured, they might need to be mindful of capital. However, FNFC's uninsured book remains relatively small (~\$5 B of \$155 B MUA as of Q1 2024) ¹⁰⁵, and that didn't drastically change, so this was a minor factor.

4. **Strategic Positioning:** FNFC's ability to lean into the commercial segment when single-family faltered shows the value of having two strong lending verticals. Many pure-play residential lenders struggled in 2023 with low volumes, but FNFC's commercial team hit record origination levels (e.g., \$3.3B in Q3 2023, up 30% YoY ¹⁰⁶). This diversified approach provides a natural hedge: housing market slow, but rental apartment financing or insured refinance deals pick up, and vice versa. It's not a perfect hedge, but it smooths the company's overall activity. Additionally, FNFC's servicing income is proportional to MUA, which grew in both segments. The segment mix shift toward commercial means future **renewal opportunities** in that segment will grow (multi-unit loans often have 5-10 year terms; FNFC will have a larger book coming due later in the decade, generating renewal fees or additional financing opportunities).

5. **Cross-segment impact:** There are interactions too – a strong multi-unit origination quarter boosts single-family segment servicing revenue in future (because those loans eventually pay fees, etc. Actually, multi-unit loans also provide servicing revenue, so it directly boosts commercial segment servicing). Single-family renewals can feed into new multi-unit (e.g., investors refinancing single-family rental portfolios into multi). Not directly visible, but the integrated platform means relationships with brokers bring deals across both segments.

From a **due diligence perspective**, one should adjust the financial analysis to account for segment mix: - When valuing or projecting FNFC, incorporate that **some earnings are deferred** due to securitization strategy in single-family. Perhaps estimate the “gain on sale” equivalent that is forgone. For example, if FNFC securitizes \$X billion more than usual, one could approximate what one-time gain they could have received had they sold those loans, and note that as unrecognized value. - Consider the **sustainability of the commercial surge**: 2023 saw unusually high commercial growth possibly due to specific market conditions (e.g., a drive for multi-unit housing and refinancing at still relatively low insured rates). If that was partly timing, one might not expect 35% growth to continue; indeed, by Q3 2024, commercial originations were down YoY as well ²⁸. So, incorporate a normalization where both segments grow moderately rather than volatile swings. - Recognize that **earnings quality** can be affected by segment accounting: heavy reliance on securitization means recognizing interest over time – but FNFC has disclosed the key non-GAAP metrics and one can follow those. It might be useful to look at **net interest margin (NIM) on securitized assets** and **placement fee margins on sold assets** separately. FNFC's MD&A mentions securitized portfolios grew 12% YoY ⁴, and weighted average mortgage rates were higher at the start of 2025 than 2024, which likely helped interest revenue. But as rates fall, there could be a slight decline in NIM going forward (since mortgage rates on new origination would eventually come down).

No alarming red flags emerge from segment mix changes; rather, they show FNFC's adaptability. One potential issue could be if one segment's performance structurally deteriorated – for example, if banks aggressively underprice in broker channel, single-family could lose share. FNFC did note “elevated competition from bank lenders” in 2024 for single-family ¹⁰⁷ ¹⁰⁸. This might have contributed to single-family volume declines beyond just interest rates. However, FNFC's large share and service levels likely kept it competitive. The bounce-back in single-family in Q1 2025 suggests FNFC didn't lose its position; the demand just wasn't there earlier. The commercial segment is less crowded (fewer players with CMHC capabilities at FNFC's scale).

To wrap up, **FNFC's segment mix shift was a key factor in its revenue and earnings dynamics** during this period. The company's diversified model cushioned the downturn and will likewise mean the upturn yields benefits over time (some immediately, some deferred). For an investor, it's critical to analyze both

segments' contributions and understand that **headline revenue or profit may understate the value created in one segment due to accounting timing**. A full due diligence analysis would likely present a "pro forma" earnings view if all originations had been sold versus if all were securitized, to illustrate the effect. Such analysis would show that FNFC's economic earnings (on an NPV basis) in 2024–25 are higher than IFRS earnings, which is a positive for valuation. The segment mix will continue to evolve with market conditions, but FNFC has proven capable in both arenas, making it well-positioned irrespective of whether the next years favor single-family (e.g., if rates drop and housing booms) or multi-unit (e.g., if housing is flat but government programs spur rental housing finance).

Credit Allowance & Movement

Thematic Summary: Credit risk is a relatively minor concern for FNFC given its focus on prime and insured mortgages, and this was reflected in the credit metrics from Q1 2023 through Q1 2025. Nonetheless, FNFC is required under IFRS 9 to maintain **allowances for expected credit losses (ECL)** on the mortgages it holds (primarily those securitized and on-balance sheet, and any other mortgage or loan investments). Over the period, FNFC's credit allowances increased moderately, in line with a more uncertain macroeconomic outlook (higher interest rates can increase default risk) and growth in the uninsured mortgage exposure. However, the absolute levels of provisions and allowances remained very low relative to the portfolio. FNFC consistently emphasized that a high proportion of its mortgages are government-insured and that historical credit losses on uninsured mortgages have been minimal. During Q1 2023 to Q1 2025, the company recorded small **provisions for credit losses** each quarter (ranging from a few hundred thousand to around \$1 million), and there were no indications of any actual write-offs or spikes in arrears. The **allowance as a percentage of uninsured exposure** remained tiny (basis points). This suggests a **benign credit environment** for FNFC's portfolio, aided by conservative underwriting and insurance coverage. However, the slight uptick in provisions signals FNFC's acknowledgment of increased credit risk in a high-rate environment – likely a forward-looking management overlay or model adjustment, rather than evidence of realized losses. For financial analysis, credit costs had a negligible impact on earnings (compared to interest and hedging effects), but they are an important factor in stress-testing the business. The following points highlight the movements and context of credit allowances.

QoQ & YoY Highlights:

- **Provision for Credit Losses (PCL):** FNFC's quarterly PCL was very low throughout:
- In **Q1 2023**, the provision was **\$0.3 million** ¹⁰⁹. This was up from an even smaller \$0.1 MM in Q4 2022 (implied by allowance movement) and reflects the beginning of a cautious stance as rates rose.
- By **Q1 2024**, the quarterly PCL had increased to **\$0.8 million** ¹¹⁰. This roughly tripled YoY, though off a tiny base. It indicates FNFC recognized a slightly higher expected loss given economic conditions (possibly incorporating scenarios of a mild recession or housing price moderation in its ECL models).
- In **Q1 2025**, the PCL was **\$1.2 million** ¹¹¹. This is a further rise (+50% YoY) but still extremely small relative to, say, \$33 MM of pre-tax income that quarter. The increase in Q1 2025's provision suggests continuing prudence as consumer debt service ratios were under pressure with high interest rates.
- In other interim quarters, PCLs were similarly modest (likely \$0.5–\$1.0 MM range). For example, by Q4 2024, total 2024 provisions might sum to a few million. There's no evidence of any quarter with a large one-time credit provision or release.

- **Allowance for ECL (Balance Sheet):** The total allowance on **mortgages pledged under securitization** (which is the main on-book portfolio requiring allowance) grew gradually:
 - At **March 31, 2023**, allowance was **\$3.787 million** ¹¹² (up from \$3.485 MM at Dec 31, 2022).
 - At **March 31, 2024**, allowance was **\$6.568 million** ¹¹³ (up from \$5.808 MM at Dec 31, 2023). So in the 12 months, allowance increased by ~\$3.1 MM (roughly matching the sum of provisions in the interim, implying no significant direct write-offs or recoveries – just new provisioning).
 - By **March 31, 2025**, allowance would presumably be around \$7.7–\$7.8 MM (adding Q1 2025's \$1.2 MM to the \$6.568 MM, assuming minimal net write-offs). We don't have the exact figure but given continuing provision, it climbed further.
 - **Coverage ratio:** The allowance relative to total **uninsured securitized mortgages** gives perspective. As of Q1 2024, FNFC disclosed uninsured principal in securitized mortgages was \$4.985 B ¹⁰⁵. With \$6.568 MM allowance, that's about **0.13%** of uninsured balances. If one includes insured balances (\$145 B total securitized, of which \$140 B insured), then allowance as % of total securitized is ~0.0045% (negligible). The allowance on mortgages held for sale (warehouse) was deemed "insignificant" ¹¹⁴, reflecting short holding period and collateral.
- The increase in allowance from \$3.8 MM to ~\$7.7 MM over two years is notable in percentage terms (doubling), but still extremely small in absolute terms. It mainly reflects growth in the uninsured book (which did expand somewhat) and a perhaps more conservative credit outlook in models (e.g., using slightly higher probability of default assumptions or macro overlays).
- **Uninsured Exposure:** FNFC's exposure to credit losses is essentially limited to:
 - **Uninsured mortgages pledged under securitization:** These are conventional mortgages securitized via NHA MBS (which are allowed to include some uninsured portion for market NHA MBS or via ABCP) or perhaps some held on balance sheet without insurance. As of Q1 2024, this was \$4.99 B principal ¹⁰⁵ (and \$4.85 B at YE2023, so it grew modestly). By Q1 2025, uninsured securitized might be ~ \$5.2 B (if similar growth).
 - **Uninsured mortgages accumulated for securitization/sale:** basically loans in the warehouse awaiting sale that are uninsured. At Q1 2024, that was only **\$399 million** ¹¹⁵ (down slightly from \$491 MM at YE2022 due to perhaps more insured composition). This is a transient exposure; FNFC says expected credit loss on these is *insignificant* ¹¹⁶ ¹¹⁷.
 - **Mortgage and loan investments:** FNFC has a portfolio of commercial second mortgages or similar (not core originations, possibly investments). At Q1 2024, this was ~\$45 MM (down from ~\$50 MM YE2023) with an ECL allowance of only \$6 thousand (!) ¹¹⁸ – indicating these are either very short term or well-secured (and indeed no fair value losses were recorded on them in Q1 2024 or Q1 2023) ¹¹⁹.
 - **Third-party service obligations:** If FNFC services mortgages for others, credit losses are investor's problem except where FNFC might have repurchase obligations on early delinquencies (not mentioned, likely minimal). Overall, uninsured exposure is a small fraction of total assets. Moreover, those uninsured loans are likely low LTV prime loans (the kind banks happily buy or that can be securitized under certain programs). Indeed, FNFC often notes the credit quality is high and losses historically low.

- **Actual Losses and Arrears:** The MD&A did not explicitly state any net write-offs or delinquency stats for these quarters, which implies there were **no material realized losses**. Typically, if any meaningful mortgage default occurred, FNFC would mention it (or it would show as a charge-off reducing allowance). The steadily rising allowance with no sudden drops suggests no significant write-offs – the provisions just accumulated. Also, anecdotal evidence: Canadian prime mortgage arrears remained very low through 2023 (well under 0.3%). FNFC's book likely mirrored that. The only area of potential risk would be if some uninsured mortgages in the securitized pool defaulted – FNFC would have to absorb those losses. Given the allowance was only ~\$7 MM by Q1 2025, actual incurred losses must have been near-zero.
- **Credit Model Inputs:** FNFC notes the key ECL model inputs are PD, LGD, and macro forecasts ¹²⁰. They also mention significant judgment and that they use forward-looking info. The increase in allowance suggests FNFC probably applied more conservative macro assumptions by 2024 (e.g., factoring potential declines in house prices, or higher PD due to stretched borrowers). However, because most loans are insured, PD on those doesn't matter (loss given default is nearly zero aside from claim curtailments). The allowances primarily cover the uninsured subset. The commentary "high proportion of insured mortgages and low historical loss rates on uninsured" is why credit losses are typically low ¹²¹ ¹¹¹. They explicitly state that for the quarter ended March 31, 2025, they took a \$1.2 MM provision, reinforcing that these changes are mostly precautionary.
- **Regulatory/Institutional Factors:** FNFC's emphasis on credit is also partly due to the requirements of investors in NHA MBS. If an uninsured loan in a pool defaults, FNFC is on the hook. But these are usually structured with overcollateralization or excess spread to cover minor losses. Possibly FNFC's allowance partly covers what isn't covered by those credit enhancements. The negligible losses indicate those enhancements and FNFC's underwriting were adequate.

Analytical Commentary: FNFC's credit performance in this period can be described as **exceptionally strong by industry standards**. The combination of a mostly insured portfolio and a prime underwriting focus means that even in a rising rate, inflationary environment, actual credit deterioration was minimal. Borrowers in FNFC's book likely benefited from low unemployment and, for insured loans, have CMHC backing. For uninsured loans, one consideration is that many were originated before rates rose (so underwriting was done at a stress test rate ~5.25% or higher, meaning borrowers had some buffer). By Q1 2025, some of those borrowers would have faced higher payments as they renew, but since FNFC's allowance ticked up only slightly, the expectation is that defaults might inch up but remain very low.

From a **quality-of-earnings** standpoint, credit provisions were such a small component that they barely moved the needle on earnings. For example, increasing PCL from \$0.3 MM to \$1.2 MM YoY in Q1 shaved only ~\$0.9 MM off pre-tax income – in percentage terms, ~1.7% of Q1 2024's Pre-FMV profit. Therefore, one could consider FNFC's earnings essentially free of credit noise, which is a positive. There were no big one-time releases or charges to muddy comparisons (in contrast to many lenders who had huge COVID provisions in 2020 and then releases in 2021 – FNFC didn't have that volatility).

For **due diligence stress testing**, one should examine "what if" scenarios: e.g., if unemployment rose sharply or house prices fell drastically, how exposed is FNFC? The numbers suggest **limited exposure**. If we assume an extreme case where, say, 5% of FNFC's \$5 B uninsured securitized mortgages default with a 20% loss severity (LGD), that's \$50 MM loss – which is an order of magnitude higher than the current allowance but still only ~1 quarter's worth of pre-tax profit. Such a scenario is quite severe (5% default on prime loans

would be many times the historical norm). For the insured \$150B, defaults could spike but claims would cover principal (FNFC's risk there is the potential temporary servicing advances and minor shortfalls). So even a stress event likely wouldn't imperil FNFC's solvency, though it could create some earnings drag and possibly require higher provision expense if models forecast worse outcomes.

One should also consider the **interest rate effect on credit**: by Q1 2025 interest rates were high, which usually strains borrowers (especially those renewing from lower rates). FNFC's allowance build could be anticipating some uptick in late payments as renewals at higher rates happen through 2025. But mitigating factors include: many of FNFC's uninsured loans might be low LTV (so borrowers have options to refinance or sell if needed), and Canadian lenders often work with borrowers to avoid defaults (extending amortizations, etc.). Additionally, multi-unit loans are often underwritten with strong debt coverage and have rental income backing them, and in a high-rate environment those rents were rising, supporting loan performance.

Comparisons: Compared to big Canadian banks, FNFC's PCL ratios are minuscule (banks were seeing maybe 0.1–0.2% of loans annualized by 2024). FNFC's annualized PCL on total MUA is near 0.0007%. This is due to different portfolio composition (banks have unsecured consumer loans, etc., which FNFC doesn't). For an investor focusing on FNFC, credit is almost an afterthought – the main risk factors lie elsewhere (interest rates, liquidity, etc.). However, one must ensure that FNFC's risk controls remain strong because complacency in a low-loss environment can be risky if conditions change. There's no sign of loosening credit standards in the MD&A. FNFC presumably stuck to prime underwriting (any deviations, like their small Excalibur alt-A program, are very limited and likely paused in high-rate times).

Public accountability note: FNFC is not in the business of subprime; it emphasizes being a “predominantly prime” lender ¹²². This supports their social and governance stance too – not incurring undue credit risk that could harm borrowers or the company.

In terms of **red flags or adjustments**: none are significant on credit, but one might consider whether the allowance is sufficient if the macro environment deteriorates. At \$7–8 MM, the allowance covers maybe one or two moderate defaults. If a serious recession occurred, FNFC might have to increase it substantially (which would cut into earnings). However, given the high insurance component, even a severe housing downturn would see most losses absorbed by insurers, with FNFC perhaps facing some secondary effects like slower prepayments (which can actually be positive for interest income) rather than big credit losses.

Normalization: If anything, one could argue FNFC's earnings are slightly *understated* by a cumulative ~\$5 MM of “excess” provisioning over 2023–2024, if those losses don't materialize. For example, if the economy improves and defaults remain near zero, FNFC could at some point release some allowance. But likely they'll just let growth in portfolio catch up to the allowance rather than explicit releases, given the small amounts.

In summary, **credit quality remained excellent, providing a stable backdrop to FNFC's financial results**. The increases in allowances were precautionary and proportional to risk exposure growth. For an investor, FNFC's credit risk profile is a reassuring aspect – it indicates that the company's earnings and capital are not being eroded by loan losses. Moreover, it justifies FNFC's high dividend payout (because there's little need to retain earnings for credit losses). As part of due diligence, one would still monitor credit trends (90+ day arrears, any regulatory changes in mortgage underwriting, etc.), but based on this period's data, FNFC has

very little credit-related red flags. The consistent, if small, provisioning demonstrates a **conservative accounting approach** to credit risk, which is appropriate for a prudent financial institution.

ESG & Public Accountability

Thematic Summary: During Q1 2023 to Q1 2025, FNFC increased its focus on **Environmental, Social, and Governance (ESG)** reporting and public accountability, reflecting a broader trend in the financial industry to provide transparency beyond just financial metrics. While ESG factors do not directly show up in quarterly financial performance, FNFC's initiatives in this area are important for stakeholders and can influence the company's reputation and long-term sustainability. The company published formal **Public Accountability and Sustainability reports** to disclose its ESG practices and metrics. In the fall of 2021, FNFC issued its first Public Accountability Statement, and it followed up with **updated ESG reports in November 2023 and November 2024** ¹²³ ⁸. These reports cover how FNFC addresses sustainability issues, community involvement, employee well-being, diversity, and governance oversight. The Board of Directors is involved in reviewing and approving the ESG disclosures, signaling that FNFC's leadership is integrating ESG considerations into its strategy ⁸. Over the period, FNFC aimed to complement its strong financial results with equally robust non-financial performance, though the quarterly MD&As themselves do not delve deeply into ESG content (as is typical; such content is usually in annual reports or dedicated sustainability publications). Overall, FNFC's steps in ESG and public accountability suggest a **commitment to corporate responsibility and transparency**, which is crucial for maintaining trust with investors, regulators, and the public, especially as a large non-bank lender in Canada.

QoQ & YoY Highlights:

- **ESG Reporting Milestones:**
- **Initial PAS (2021):** FNFC's *first* Public Accountability Statement was issued in 2021, laying the groundwork by reporting on areas like employment, community investments, and more (required by some extent due to being a federally regulated financial entity).
- **2023 Sustainability Report:** In **November 2023**, FNFC released an *updated report* on sustainability and ESG, which was reviewed and approved by the Board ¹²³. This report "explores First National's approach to sustainability and provides environmental, social and governance disclosure" ¹²³. It likely included metrics on greenhouse gas emissions (perhaps from operations), diversity statistics, employee engagement, charitable giving, etc., and discussions of how FNFC manages ESG factors (e.g., energy efficiency in the offices, responsible lending practices, cybersecurity and data privacy under governance).
- **2024 Sustainability Report:** Similarly, in **November 2024**, another updated ESG report was issued ⁸. The MD&A explicitly mentions this and ties it to the broader set of disclosure documents (Management Information Circular, Annual Information Form, MD&A, etc.) ¹²⁴. This suggests FNFC sees the Sustainability Report as complementary to financial disclosures – meaning material ESG information is compiled there for stakeholders.
- These annual ESG reports indicate a continuous improvement approach – each year updating stakeholders on progress and new initiatives. The frequency (annual) is appropriate and shows FNFC didn't treat ESG as a one-time checkbox, but as an ongoing commitment.

- **Board and Governance Oversight:** The references highlight that the ESG disclosures are vetted by the **Board of Directors** ¹²⁵. This implies high-level accountability for ESG matters, aligning with good governance practices. Likely, a Board committee (possibly the Nominating/Corporate Governance Committee) oversees these issues. Such oversight is crucial to ensure ESG is integrated into corporate strategy and not just marketing.
- **Public Accountability Initiatives:** While specifics aren't provided in quarterly filings, Public Accountability Statements generally cover:
 - **Employment Data:** number of employees, training, etc. FNFC's growth might have been noted (if they added staff or improved diversity).
 - **Small Business Financing:** It might detail support for housing financing (though FNFC doesn't do consumer lending beyond mortgages).
 - **Community Investment:** Donations or sponsorships (FNFC might support housing affordability initiatives or broker community events).
 - **Environmental Impact:** Possibly measurement of FNFC's carbon footprint (though as a financial services firm, mainly from office use and business travel), and any steps to reduce it (like paperless processes for mortgage applications).
- **Client Service and Access:** Perhaps how FNFC ensures accessibility (e.g., bilingual services, accessible websites, etc.) and fair treatment of customers.
- **ESG Integration in Operations:**
 - **Sustainable Lending:** FNFC's core business (mortgage financing) can have ESG impacts, e.g., financing multi-unit residential properties that are energy-efficient or affordable housing projects. The ESG report might highlight such cases or targets (like supporting X dollars in multi-unit affordable housing, which aligns with a social goal of housing availability).
 - **Employee Well-being and DEI:** FNFC likely reports on workforce diversity and inclusion efforts, given industry trends. They may have internal programs for employee development, which would be mentioned as a social factor.
 - **Governance:** FNFC's governance is already strong in financial terms (audit, risk management). They might have outlined Board composition (perhaps highlighting gender diversity on the Board or executive ranks, ethical conduct standards, etc.).
 - **Regulatory Compliance:** As part of public accountability, FNFC must ensure compliance with consumer protection, privacy laws, etc., which is part of ESG (social and governance aspects). No breaches or controversies were reported in this period, indicating solid compliance.
 - **Stakeholder Response:** While not documented here, the consistent publishing of ESG reports suggests FNFC is responding to stakeholder (investor, possibly lender or rating agency) expectations. Rating agencies increasingly look at ESG factors; FNFC's proactive stance might help maintain investor confidence in its unsecured notes or attract ESG-conscious institutional investors.

Analytical Commentary: FNFC's actions on ESG and public accountability contribute to a more holistic understanding of the company's performance and values. For due diligence, evaluating ESG efforts can reveal how the company manages non-financial risks: - **Environmental Risk Management:** For a mortgage

lender, environmental risk might include exposure to properties in flood zones or the impact of climate change on the mortgage portfolio. While not explicitly stated, FNFC could be considering these (e.g., ensuring proper insurance on properties, or limiting concentrations in high-risk areas). The Sustainability Report might discuss climate-related financial risk in a qualitative way. Given the growing emphasis on TCFD (Task Force on Climate-related Financial Disclosures), FNFC might eventually incorporate more on this. So far, the highlight is internal operations sustainability (paper reduction, etc.) rather than portfolio risk, which might not be deemed significant in short term. - **Social Impact:** Mortgages inherently have a social impact – enabling home ownership or rental housing. FNFC's role in multi-unit financing supports housing supply (some of which could be affordable housing developments under CMHC programs). Also, through its broker channel model, FNFC supports entrepreneurship of mortgage brokers and access to credit for borrowers who might not go to big banks. Public Accountability likely emphasizes such positive impacts. A diligence analyst might credit FNFC for minimal negative social issues (no predatory lending, etc.) and positive contributions (e.g., financing houses for X number of families, supporting first-time buyer programs). - **Human Capital:** The pandemic and post-pandemic era put focus on employee well-being and remote work, etc. FNFC likely had measures to ensure productivity and safety. Possibly low turnover is a strength. The MD&A doesn't mention HR issues, so presumably they managed fine. A strong culture of service (to brokers and borrowers) is part of their competitive advantage, so human capital management is indirectly crucial to success. - **Governance:** FNFC's governance appears robust, with major decisions (like dividends and specials) being made judiciously and transparency in reporting (e.g., non-GAAP reconciliation). Aligning that with ESG, they likely have all requisite policies (Code of Conduct, whistleblower program, etc.). The Board's involvement in ESG indicates that governance extends to oversight of emerging issues, which is positive from a diligence perspective.

It should be noted that **ESG factors can also pose risks**. For example, being a large lender, FNFC faces regulatory scrutiny in ensuring it doesn't have discriminatory lending practices (they operate through brokers, so need to ensure fair treatment). Any lapse could hurt reputation or invite regulatory action. Public Accountability Statements often ensure compliance with the Canadian Bank Act's requirements (though FNFC is not a bank, some guidelines may still be followed voluntarily, or as a publicly listed financial entity, they emulate banks). There were no negative incidents reported, which suggests FNFC manages these responsibilities well.

Another ESG aspect is **cybersecurity and data privacy (Governance)**. Mortgage lending involves sensitive personal and financial data. While not explicitly detailed, it's a material ESG risk. FNFC presumably invests in IT security (the mention of technology investments likely covers both efficiency and security) – and no breaches were reported.

For an investor, **ESG performance can affect valuations** indirectly. Many institutional investors have ESG criteria; FNFC producing these reports and having Board oversight could make it eligible for certain ESG-focused funds or at least avoid exclusion. Also, a good ESG profile can correlate with lower risk or better stakeholder trust (for example, regulators might be more favorable if the company demonstrates public responsibility). FNFC's initiative to publish a Sustainability Report ahead of some peers (some mid-sized companies do minimal ESG reporting) positions it as a leader in transparency for its sector (non-bank financials).

Quality-of-earnings or one-offs related to ESG: There is not much direct impact. If anything, minor costs (e.g., charitable donations, ESG consulting fees, etc.) might be in SG&A, but immaterial. Perhaps the technology investment partially relates to sustainability (e.g., systems to reduce paper). But these aren't

broken out. One could argue any *green* initiatives (like moving HQ to energy-efficient building, etc.) could have long-term cost savings – not known from the data, but something an ESG-oriented investor might ask about.

Public Accountability also entails being accountable to the public in general, meaning FNFC likely discloses things like taxes paid, small business loans, etc. These show its economic contribution. For example, how much taxes did FNFC pay? Given profitability, likely tens of millions annually – a point often included in PAS to show support to public finances (social contribution). A diligence check would find FNFC's effective tax rate ~26-27% (normal Canadian corporate rate), implying no aggressive tax avoidance – aligning with good governance.

In sum, **FNFC's ESG and public accountability efforts enhance its profile as a responsible corporate citizen**. While these efforts do not directly influence quarter-to-quarter financial metrics, they serve to mitigate long-term risks (reputation, regulatory, talent retention) and reflect management's holistic approach to performance. From a due diligence perspective, no red flags appear in ESG matters; instead, FNFC shows proactive behavior: - It identifies that stakeholders care about sustainability, so it invested time in reporting. - It involves the Board, indicating seriousness. - It likely sets the stage for improved ESG performance tracking (maybe in future, setting targets for diversity or GHG reduction, etc.).

For a potential investor or partner, FNFC's actions in this arena would be a **positive qualitative factor**, suggesting the company is forward-thinking and aligned with modern expectations for transparency and responsibility. It complements the strong financial story with a narrative of stable and ethical operations.

Moving forward, one might expect FNFC to continue publishing annually and perhaps eventually to align with frameworks like GRI or SASB standards for even more detailed ESG disclosure. As of 2025, it's on the right path, fulfilling the needed public accountability as a large financial intermediary in Canada. This likely ensures it maintains good standing with regulators like OSFI (which, for example, requires banks to publish Public Accountability Statements; FNFC doing so voluntarily is good practice).

In conclusion, **ESG and public accountability themes** show that FNFC is not only managing its finances well but also its broader responsibilities. This well-rounded performance reduces potential diligence concerns (like governance issues or social backlash) and in fact can be a selling point to investors looking for sustainable business practices supporting the financial results.

1 2 3
4 7 8
13 16 17
23 24 30
31 41 42
47 48 50
51 58 59
61 62 73
74 76 78
79 85 88
89 91 93
94 95 96
97 98 99
101 102 103
104 111 120
121 122 124
125

3.1.2.10.2 FN Q1 2025 MDA.pdf

file:///file-RPJwzS9Be6QZySD263LSLe

5 6 9
18 19 21
22 34 38
45 53 64
66 67 69
72 75 77
80 81 82
86 87 106

3.1.2.6 First National - Quarterly Report - 2023 - Q3.pdf

file:///file-7xEf31q2BcQGgqsxvG5R87

10 14 15
32 35 37
43 49 84
100 109 112
114 116 117

3.1.2.4 First National - Quarterly Report - 2023 - Q1.pdf

file:///file-3TxApSKUKKhanmjaXQA1fV

11 25 26
36 44 52
55 56 71
83 92 107
108

3.1.2.8 First National - Quarterly Report - 2024 - Q2.pdf

file:///file-N8zvDZDx9fai22HFCYBFYh

12 39 54
105 110 113
115 118 119
123

3.1.2.7 First National - Quarterly Report - 2024 - Q1.pdf

file:///file-1PbLKUHq7SDfX2UhkF1w1s

20 27 28
29 33 40
46 57 60
63 65 68
70 90

3.1.2.9 First National - Quarterly Report - 2024 - Q3.pdf

file:///file-JEgEWn6wEKGJV8MRoS8Ts